



Evan McKenzie

PRIVATOPIA

Homeowner Associations and the Rise
of Residential Private Government

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For Cecilia and Hunter

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From Garden City to Privatopia

What is the teaching of history, but that great national transformations, while ages in unnoticed preparation, when once inaugurated, are accomplished with a rapidity and resistless momentum proportioned to their magnitude, not limited by it?

—Edward Bellamy, *Looking Backward: 2000–1887*

In 1898 a forty-eight-year-old English court stenographer named Ebenezer Howard borrowed from a friend a copy of Edward Bellamy's utopian novel *Looking Backward*. "This I read," Howard said, "at a sitting, not at all critically, and was fairly carried away by the eloquence and evidently strong convictions of the author."¹ Howard became a convert to Bellamy's belief that a perfect society was within humankind's immediate reach.

The novel is the narrative of Julian West, a Bostonian who in 1887 seeks relief from insomnia at the hands of a hypnotist, only to awaken in the year 2000. He discovers that society has undergone a peaceful but radical metamorphosis and now operates in a humane, rational way. Monopoly capitalism has given way to benevolent state ownership of industry, advanced science and technology have made life easier for all, and social and political conflicts have disappeared.²

West's experience turns out to be a dream, but Bellamy's faith in the possibility of a utopian future was genuine. As he wrote in his postscript to the novel, "*Looking Backward* was written in the belief that the Golden Age lies before us and not behind us, and is not far away. Our children will surely see it, and we, too, who are already men and women, if we deserve it by our faith and by our works."³

Howard was profoundly inspired by the novel, especially by the idea of rapidly transforming a nation through rational planning. "This book pictured the whole American nation organised on cooperative principles—this mighty change coming about with marvellous celerity." He saw the "splendid possibilities of a new civilisation based on service to the community and not on self-interest, at present the dominant motive. Then I determined to take such part as I could, however small it might be, in helping to bring a new civilisation into being."⁴

Howard, at once an idealist and a pragmatist, grew obsessed with putting Bellamy's ideas into practice immediately, but on the less ambitious scale of a small city. As a Londoner, he saw around him the social consequences of the Industrial Revolution. Cities offered opportunities for culture and social interaction, but they were overcrowded, dirty, and cut off from the salutary effects of contact with nature. High housing costs ensured squalor for many and opulence for a few. Workers toiled for long hours at tedious jobs, yet they continued to stream in from the depopulated and impoverished countryside in search of factory work because wages were higher in the city. Howard's idea was to plan and build a new kind of town that would combine the best features of city and country—a "garden city."

Howard soon wrote his own book detailing the concept, *Tomorrow: A Peaceful Path to Real Reform*. When he was unable to find a publisher, his American friend George Dickman, managing director of Kodak Company, lent him fifty pounds, and with that subsidy the work was published.⁵ It was reissued in 1902 under the title *Garden Cities of Tomorrow*.⁶

The book is a manual for the financing, building, and operation of a

new kind of planned community, or what came to be known as a "new town." Howard lectured widely and soon had a following. His Garden City Association built two cities in England during his lifetime—Welwyn and Letchworth—and his following turned into a movement that heavily influenced the modern planning profession in many countries.⁷

Howard's admirers and critics alike concede the tremendous influence of his book. One of his early followers was Lewis Mumford, who wrote that "*Garden Cities of Tomorrow* has done more than any other single book to guide the modern town planning movement and to alter its objectives." One of his most vocal critics is Jane Jacobs, who noted that "virtually all modern city planning has been adapted from, and embroidered on, this silly substance." Whether silly or profound, there is no denying the enduring power of Howard's idea.⁸

THE GARDEN CITY IDEA

Howard readily acknowledged that his garden city plan was to some extent a synthesis of several proposals by other writers who had addressed more limited issues, such as an organized migration of population for colonization, a nationalization of land ownership, and a model industrial town.⁹ Howard's particular genius was the way he combined these and other elements into a plan capable of being realized in the present. Mumford has noted that "Howard's prime contribution was to outline the nature of a balanced community and to show what steps were necessary, in an ill-organized and disoriented society, to bring it into existence."¹⁰

The garden city idea as Howard conceived it had two elements meant to work in tandem: the comprehensive physical planning and political and economic organization of the model community. Both have been enormously influential.

The Physical Plan

The garden city's physical plan was to be based on Howard's conceptual diagrams, but in practice, he said, it would be meticulously designed by a team of engineers, architects, surveyors, and other professionals to make the city self-sufficient. It was of "incalculable" importance, Howard

said, "that the town is definitely planned, so that the whole question of municipal administration may be dealt with by one far-reaching scheme. . . . It is essential, as we have said, that there should be unity of design and purpose—that the town should be planned as a whole, and not left to grow up in a chaotic manner as has been the case with all English towns, and more or less so with the towns of all countries."¹¹

Howard envisioned building from scratch on an undeveloped six-thousand-acre plot of land. At the center would be a city one thousand acres in area and about one-and-one-half miles in diameter that would house up to thirty thousand people.¹² The city is depicted as circular and crossed from center to circumference by six wide boulevards. At the center would be a five-and-one-half-acre Central Park surrounded by such public buildings as the town hall. Around this park would run a circular Crystal Palace, a glass arcade not unlike the modern shopping mall. Outside this arcade a series of circular streets lined with trees, houses, schools, and gardens would encircle the center. At the edge of the circular city would be the industries—the factories, warehouses, and coal and timber yards—all of which would face outward onto a circular railway encompassing the town and delivering goods to and from the city and its businesses.

Outside this perimeter would be a five-thousand-acre belt of agricultural land that would be home to an additional two thousand people engaged in farming. This greenbelt—which would be permanent—would provide food for the city, prevent its expansion beyond the planned optimum size, and isolate it from outside forces that could change it.¹³

Through this careful planning and the efficiency it would produce, Howard anticipated that the rent would be well within the reach of most citizens. Although the garden city's rent would be higher than typical rents in London, the Londoner was paying taxes for municipal services that would be included in rents paid in the garden city. Consequently, the price of living in a garden city would be "extremely moderate."¹⁴

Political and Economic Organization

Howard's plan for the political and economic structure of his garden city included radical proposals for public land ownership, a novel form of government, and an economic system of publicly regulated monopolies.

The initial construction funds would be borrowed. All land occupied

by the city and the agricultural belt would be owned by the municipality. The residents would pay rent to the city, and that money would be used to pay off the construction loan, build public works projects, and provide old-age pensions and medical care.¹⁵ Subsidies for the poor would not be required, as pensions and voluntary charitable work would make such costs unnecessary. There would be little need for police protection because the new citizens "for the most part, will be of the law-abiding class," and the plan would "prevent the creation of those surroundings which make the intervention of the police so frequently necessary."¹⁶

The government Howard proposed was a democratically controlled corporate technocracy. Renters would elect the heads of various practical departments grouped under general headings: Public Control, with departments on finance, law, assessment, and inspection; Engineering, composed of departments representing the various elements of the physical plant; and Social Purposes, with such departments as education, music, and recreation. The chairmen and vice-chairmen of these departments would constitute the Central Council, which would be the governing body of the city.¹⁷

The city's constitution would more closely resemble the charter of a business corporation than the governing document of any existing nation or city: "The constitution is modelled upon that of a large and well-appointed business, which is divided into various departments, each department being expected to justify its own continued existence—its officers being selected, not so much for their knowledge of the business generally as for their special fitness for the work of their department."¹⁸

This principle reflected Howard's belief that politics, in the sense of various interests competing for favor in the distribution of government services and wealth, would be essentially eliminated in his planned city. In place of politics and ideology would be rational management of practical matters by experts, each elected to a particular department because of his or her expertise in the area and views on "clear and distinct issues." "The candidates would not be expected to specify their views upon a hundred and one questions of municipal policy upon which they had no definite opinions, and which would probably not give rise within their term of office to the necessity for recording their votes, but would simply state their views as to some special question or group of questions, a sound opinion upon which would be of urgent importance to the electors, because immediately connected with the welfare of the town."¹⁹

In essence, electoral choice would be profoundly but voluntarily re-

stricted. Choice would consist of nothing more than voting for the best electrician, the smartest engineer, the best-trained librarian, and so forth, so that all these technicians might govern as a body. Howard simply assumes that voters would choose on the basis of expertise, thus preserving his democratic technocracy. He does not mention the possibility that they might cast their ballots on some other basis.

This governing group of technicians would possess more power over its renters than other local governments have over their citizens because the council would have all the powers of a landlord at common law: "In the council (or its nominees) are vested the rights and powers of the community as sole landlord of Garden City. . . . By stepping as a *quasi* public body into the rights of a private landlord, it becomes at once clothed with far larger powers for carrying out the will of the people than are possessed by other local bodies, and thus solves to a large extent the problem of local self-government"²⁰ (emphasis in original).

These greater powers would enable the garden city to operate a new kind of market that combines capitalist and socialist elements. Howard felt that "no line could be sharply drawn between municipal and individual enterprise," and he viewed markets as "semi-municipal enterprises." He therefore proposed that business be regulated by limiting the number of private retail traders and controlling the kind of trade to be conducted in each shop. A trader would ask for permission to rent a shop, and the council would then grant the trader a monopoly on that trade. But the monopoly could be broken and a competitor permitted to operate if the renters so decided by vote, based on the trader's methods, treatment of workers, and prices. This system, which Howard called "local option," would make the tradesmen "in a very real sense, municipal servants."²¹

Howard envisioned that the first garden city would colonize a second city like itself a few miles away, and those two a third, and so on. The cities would be connected by railways, and these clusters of "social cities" would be linked not only by their similar internal plans but by an overall regional plan. In this way the entire nation would eventually be transformed by Howard's garden city idea.²² Howard felt that the utopian transformation of human society could come painlessly, through urban planning alone—without revolution, without authoritarian national government, and without conscious efforts to change the family, the educational system, the national political system, and other social institutions.

THE RISE OF PRIVATOPIA

From the adoption in America of Blackstone's commentaries to the simultaneous pursuit of privatization in the 1980s, Britain and the United States have enjoyed a "two-way transatlantic traffic" in land planning and urban policy concepts.²³ The garden city was no exception. American ideas and experience were a part of Howard's inspiration, and later his garden city notion was transplanted from England to the United States.

Yet his ideas did not lead in the benign and cooperative direction he anticipated when they started to become popular in the United States in the 1920s. Howard's ideas came to be absorbed into an important stage in the intellectual heritage of a form of private housing known as common-interest developments (CIDs), a category that includes planned-unit developments of single-family houses (PUDs), condominiums, and cooperative apartments. Some aspects of Howard's utopian vision were retained, others excised, and new elements added as a new kind of residential construction evolved throughout the twentieth century.

Although the government of Great Britain took on a substantial role in building towns inspired by Howard's garden city, the same was not true in the United States.²⁴ Private developers and businessmen, rather than government, have long been the dominant forces in American urban planning. In *The Private City*, a history of Philadelphia, Sam Bass Warner argues that "from about the mid-nineteenth century onward, the successes and failures of American cities have depended upon the unplanned outcomes of the private market," a market whose nature had "determined the shape and quality of America's big cities." According to Warner's definition of privatism, the purpose of the citizen is to seek wealth while the job of the city is to be "a community of private money makers."²⁵

Dennis Judd argues that "American urban growth has always been dictated primarily by private institutions and not by public policy," because public policy "follows rather than precedes the activities of the entrepreneurs who have changed the urban landscape." Consequently, "in American cities, politics has tended to be the handmaiden of the economic system."²⁶

The dominant ideology of privatism worked against important aspects of Howard's plan. Perhaps the most significant of these was his approach to land tenure. Because private institutions and private property drive urban development, Howard's proposal for community owner-

ship of all real property, with people renting their homes instead of owning them, has never found favor with America's private real estate developers. Instead, these entrepreneurs, aided by government, have consistently promoted private home ownership.²⁷

Yet this same American privatism made fertile soil for Howard's idea of building entire communities. Economies of scale mean bigger profit, especially for private builders with the capital to construct and sell what amount to small cities. Since the 1920s large corporate builders have gradually risen to prominence in the housing construction business, making the single-family house a mass-produced consumer item, like the toaster or automobile.²⁸ These corporations began to build hundreds, then thousands, of houses at a time for short-term profit, not for long-term social transformation. So, although the corporations have planned and built on a grand scale, their communities have been premised on private home ownership and designed to safeguard property values. Howard's hope for "a new civilisation based on service to the community and not on self interest" has not been realized. Instead, American real estate development corporations, with government as a silent partner, have chosen to build a new kind of community that serves as a monument to privatism.

The complex interplay between Howard's ideas and the ambience of American privatism began long before Howard wrote his influential book. In 1871, at the age of twenty-one, he went to America with two friends to start a farm in Howard County, Nebraska. He proved to be a failure at farming, and within a few months he moved to Chicago and became a court reporter. In 1876 he returned to England, but his stay in America had affected him deeply. Through contact with Quakers and Christian Scientists, he acquired a humanist religious outlook emphasizing the power of the mind to translate ideas into reality. As one of Howard's biographers put it, "This tipping of the balance towards the ideal remained in Howard's mind all his life."²⁹ Although his idealism and bedrock optimism helped to make him an inspirational leader, it also colored his urban planning ideas, leaving him with "[a] tendency discernible in *Garden Cities of Tomorrow* to discount the existence of evil" and a relentless belief that humankind was capable of achieving perfection through the use of the mind.³⁰

America influenced Howard in another sense as well: during his stay he witnessed cities being built from the ground up. As Lewis Mumford describes it, "No little stimulus came to him from his visit to America,

where he had before him the constant spectacle of new communities being laid out every year on new land, and he was impressed by the possibility of a fresh start."³¹

Among the new communities that appeared in nineteenth-century America were a number of privately owned and operated luxury subdivisions for the rich that were at least as important in the lineage of CID housing as Howard's garden city. The developments were not cities but exclusive neighborhoods designed to be separate and shielded from their surroundings. To maintain the private parks, lakes, and other amenities of the subdivisions, developers created provisions for common ownership of the land by all residents and private taxation of the owners. To ensure that the land would not be put to other uses by subsequent owners, developers attached "restrictive covenants" to the deeds. Two of the earliest such developments were Gramercy Park in New York, which formed an association in 1831, and Louisburg Square in Boston, which did the same in 1844.³²

These and other subdivisions pioneered what was to become one of the most significant trends in American urban history: the use by developers of common ownership plans and deed restrictions as private land-planning devices. Similar methods were used by nineteenth-century St. Louis subdividers who provided such services as street maintenance, snow removal, mowing, tree trimming, and street lighting to private neighborhoods through hundreds of "private street associations."³³ By 1928 scores of luxury subdivisions across the country were using deed restrictions—including racially restrictive covenants—as their legal architecture. To guarantee enforcement of the covenants, developers were organizing "homeowner associations" so that residents could sue those who violated the rules.

At the same time, the ideas of Ebenezer Howard began to influence many American planners and architects. Perhaps the most important group to reflect Howard's ideas and, in a sense, Americanize them, was the Regional Planning Association of America, a group of innovative thinkers that included Lewis Mumford. The RPA, working with builder Alexander M. Bing, developed the planned community of Radburn, New Jersey, in 1928. The project was not completely executed, however, because of the Great Depression; but it inspired many imitators.³⁴ The "Radburn idea" became famous for keeping vehicle traffic separated from pedestrian walkways and for "reversing" the houses so that living areas faced a large interior greenbelt and the kitchen and service areas

faced the street.³⁵ Radburn's most enduring contribution may be the form of private government, based on restrictive covenants administered through a homeowner association, originated for it by attorney and political scientist Charles Ascher.³⁶ Radburn's government, which was based on the Progressive city manager model, became the prototype for today's CID regimes.

The depression and World War II radically reduced new housing construction, but pent-up demand led to a postwar housing boom of unprecedented scale. Large developers began to build more complex developments, some of which had private governments. The developers also began efforts to standardize and institutionalize this form of housing in 1944 when the Urban Land Institute formed a Community Builders' Council headed by Jesse Clyde Nichols, builder of the Country Club District in Kansas City and one of the most influential proponents of CIDs and homeowner associations.³⁷

Such developments were still primarily for the affluent, however. As late as 1962 there were fewer than five hundred homeowner associations in the United States, and the dominant form of middle-class housing was still the suburban "big-lot" subdivision.³⁸ But rising land prices and a population boom pressured developers to find ways to squeeze more people onto smaller parcels of land. With the endorsement of the Federal Housing Administration, which provided developers with detailed guidelines on how to create condominiums and PUDs that would receive federal mortgage insurance, the real estate industry began in the mid-1960s to promote common-interest housing for the middle class, offering open spaces owned in common in lieu of large private yards.

By the 1960s the real estate industry was increasingly dominated by large-scale corporate "community builders."³⁹ These builders made housing a mass-produced consumer commodity, and they found CIDs enormously profitable. The CIDs allowed them to build more units per acre while satisfying middle-class consumer preferences for such amenities as swimming pools, golf courses, parks, private beaches, recreation rooms, security gates and guards that would be prohibitively expensive for individual middle-class owners.

The CID movement received another boost from the "new town" boom, which began in the 1960s. Dozens of large, heavily planned and relatively self-contained communities were built, including Rancho Bernardo and Irvine, in California; Reston, Virginia; and Columbia, Maryland. Projected populations ranged as high as five hundred thousand.

The sponsors of these "instant cities," as Theodore Roszak called them, included such corporate giants as Gulf Oil, Humble Oil, Goodyear Tire and Rubber, Westinghouse, and General Electric.⁴⁰ Some developers received federal assistance, but that was withdrawn in the mid-1970s amid a rash of insolvencies.

Despite the mixed results of the new town movement, the preference for CID housing among large developers was by then strong. To reduce risk while continuing to reap substantial profits, the industry shifted to construction of smaller developments but applied the same principles it used with the bigger developments. Beginning in the mid-1970s, financially strapped local governments also found CID housing appealing because it had features of private infrastructure, allowing communities to grow and add property-tax payers at reduced public cost.

These private initiatives in housing policy, and their validation by government, brought about astonishing nationwide growth in CID construction. There were fewer than five hundred such homeowner associations in 1964. By 1970 there were 10,000 homeowner associations; by 1975 there were 20,000; by 1980, 55,000; by 1990, 130,000; and by 1992, there were 150,000 associations privately governing an estimated 32 million Americans. In 1990 there were 11.6 million CID housing units constituting more than 11 percent of American housing. Of these, 51 percent were planned-unit developments of single-family homes, 42 percent were condominiums, and 7 percent were housing cooperatives. By 2000 there is expected to be a total of 225,000 homeowner associations in the country.⁴¹

Such housing developments are concentrated in the sunbelt states, including Florida and California, but not because of regional consumer preferences. Rather, a great deal of new housing has been built in the sunbelt in the past few decades, and that new housing increasingly is CID housing. In fact, CIDs are spreading wherever residential construction is taking place. In a 1989 national survey, the Advisory Commission on Intergovernmental Relations (ACIR) found that CIDs were most common in California, Florida, and Texas. A second group of states in which CIDs were an important sector included New Jersey, New York, Virginia, Pennsylvania, Maryland, and Hawaii. ACIR found that 36 percent of CIDs were in the West, 33 percent in the South, 21 percent in the northeast, and 10 percent in the Midwest.⁴²

CIDs have become so much the norm for new housing that, as the ACIR notes, "In many rapidly developing areas, such as those in California,

nearly all new residential development is within the jurisdiction of residential community associations."⁴³ As CIDs spread, and as old housing is replaced by new CID housing, consumer choice is increasingly restricted. In short, growing numbers of Americans who wish to purchase new houses are going to be living in CIDs, and under the rule of private governments, regardless of their preferences.

MORNING IN PRIVATOPIA

If Ebenezer Howard could awaken now, like Bellamy's protagonist Julian West, and look about him at the America in which his ideas have had so much impact, he might react with astonishment and disappointment. He would see more than thirty million Americans, or some 12 percent of the U.S. population, living in about 150,000 common-interest developments.⁴⁴ These developments are Americanized, third-generation descendants of Howard's utopian garden city idea. Our garden cities are a hybrid of Howard's utopian ideas and American privatism, and I use the term *privatopia* to capture the two concepts.

Rancho Bernardo

If Ebenezer Howard happened to awaken twenty-five miles north of downtown San Diego, California, he would see a community of 33,250 known as Rancho Bernardo.⁴⁵ Started in 1961 by builder Harry L. Summers, Rancho Bernardo typifies the large CID and has served as a model for many smaller developments.⁴⁶ Summers began, like Howard, with 6,107 acres of undeveloped land, mainly rolling hills, on which he built a planned community that included housing, streets, recreation facilities, commercial areas, and light industry. It is easily distinguishable from the town of Poway to the east by the red tile roofs that top every building, the most notable of many tight architectural restrictions.

There are now about fourteen thousand dwellings in Rancho Bernardo, of which some eight thousand are single-family detached homes; the remainder is made up of single-family attached homes (generally called townhouses), condominiums, and apartments. When it is fully developed (by 1995, estimates say), Rancho Bernardo will house 41,200 people in about 17,900 dwellings. Rancho Bernardo is legally part of the

city of San Diego, but it is to a large extent self-sufficient. A fifty-three-acre town center houses a large supermarket, many retail businesses, banks, and a retirement home. Two other parcels—one of fifty-five acres and the other of seven acres—accommodate a post office, library, fire station, movie theaters, financial institutions, auto service centers, hotels, and restaurants. There are several office buildings housing lawyers, physicians, and other professionals. Four smaller neighborhood commercial centers offer convenience goods and services. Two industrial parks occupying a total of 618 acres house such high-tech employers as UNISYS (Burroughs Corporation), National Cash Register, Hewlett Packard, Sony, Gould Electronics, and other, smaller, corporations.⁴⁷

The development is divided into a variety of "neighborhoods"—which offer distinct architectural styles, housing prices, and lifestyles—that were created during the different phases of the project. For example, Seven Oaks is a retirement community. Oaks North is for people age forty-five and older. Westwood includes apartments and a large "family area" with playground. The Trails offers larger lots, more privacy, a bit more individuality, and prices in the high six figures.⁴⁸

The plan includes complex and detailed architectural restrictions for each of the neighborhoods—restrictions that are rigidly enforced by the more than one dozen neighborhood homeowner associations run by elected directors. Even the most minute changes in the restrictions require the approval of the association. Richard Louv, who studied Rancho Bernardo for his book *America II*, describes the restrictions as follows:

Even vegetable gardens are frowned upon—though some people do grow tiny ones out of their neighbors' view. Fences, hedges, or walls require approval, and may not be more than three feet tall. Signs, other than for-sale signs, are prohibited. Trees must be kept trimmed and may not grow above the level of the roof, which must be covered with red tiles. Residents are not allowed to park recreational vehicles or boats in their driveway; a special communal parking area is set aside for them. One village, designed for seniors, prohibits grandchildren from using the recreation center, and home visitation by grandchildren is strictly limited. The owners of patio homes (semidetached houses that share common grounds, except for patio areas) must gain their neighbors' approval before altering the patio, planting a rose-bush, or raising a canopy.⁴⁹

Restrictions in some neighborhoods are so detailed as to regulate the color of curtains.⁵⁰ The rigidity with which these restrictions are interpreted and enforced is illustrated by a matter that had to be resolved by the California courts.⁵¹ One phase of the development had a restriction providing that "no truck, camper, trailer, boat of any kind or other form of recreational vehicle shall be parked" in the project. One of the residents bought a new pickup truck with a camper shell to use for personal transportation. The association, through its management company, took him to court to enjoin him from parking the truck under his own carport and to recover \$2,060 in fines for this "violation." After losing in the trial court, the management company appealed, only to see the appellate court side with the resident and hold the company's action unreasonable.

Yet this sort of action does not seem unreasonable to many Rancho Bernardo residents. They place a high value on the restrictions, feeling that the infringement on one's own freedom is a small price to pay for protection from the potential misdeeds of one's neighbors. Louv quotes one resident as saying, "Sure, they have some rules, like the one that regulates campers. But the community associations are here to protect our interests, not let the community deteriorate. That's not regulation; it's common sense. I don't know why anyone would look at it differently than I do, do you?"⁵²

In addition to the neighborhood associations that enforce architectural restrictions, there are projectwide committees and corporate entities that perform other functions. Rancho Bernardo's political structure is so complex and sophisticated as to include regular reapportionment and redistricting.⁵³ At the top is the Rancho Bernardo Town Council, which has numerous specialty commissions within it to deal with such matters as senior services, civic-community relations, public services, and community appearance. The Rancho Bernardo Community Planning Board communicates directly with the San Diego Planning Commission to maintain control over the gradual build-out of the project.⁵⁴

Through these groups Rancho Bernardo residents are better represented before the San Diego city government than virtually any other part of the city. The Bernardo Home Owners Corporation not only maintains an official liaison with the San Diego City Council, it also provides buses that transport hordes of residents to City Council meetings at which topics in which they have an interest are being addressed.⁵⁵

The political clout of San Bernardo is increased through the concentration of wealthy and skilled professionals among its residents, many of

whom are retired and have not only the skills but the time to act as community advocates. When the cable television company asked the City Council for a rate citywide increase, Rancho Bernardo's successful opposition to the increase was led by two residents: a former director of public utilities for Fort Wayne, Indiana, and a former utility rate specialist. Communication with the San Diego Police Department was handled on a monthly basis by a former detective for the Beverly Hills Police Department. The successful effort to get a new hospital for Rancho Bernardo was led by a physician who was a former hospital administrator. Talent, wealth, and position are found in extraordinary abundance among Rancho Bernardo residents.⁵⁶ Moreover, journalist Harold Keen notes, "the community's affluence is reflected in its sociological makeup and political leanings—predominantly white Anglo, conservative Republican, overwhelmingly pro-Reagan."⁵⁷

No More Pink Flamingos

Rancho Bernardo is larger than most CIDs, but it is not unique in exalting private rules and regulations for their own sake and in emphasizing property values over considerations of individual privacy and freedom.⁵⁸

Some community associations have banned political signs, prohibited distribution of newspapers, and forbidden political gatherings in the common areas.⁵⁹

In Ashland, Massachusetts, a Vietnam War veteran was told that he could not fly the American flag on Flag Day. The board backed down only after the resident called the press and the story appeared on the front page of a local newspaper.⁶⁰

In Monroe, New Jersey, a homeowner association took a married couple to court because the wife, at age forty-five, was three years younger than the association's age minimum for residency. The association won in court, and the judge ordered the sixty-year-old husband to sell, rent the unit, or live without his wife.⁶¹

In Houston, Texas, a homeowner association took a woman to court for keeping a dog in violation of the rules of her CID. The association won, but she kept the dog anyway. The judge sent her to jail for contempt of court.⁶²

In Fairbanks Ranch, an affluent CID in Southern California that lies

behind six locked gates, there are forty-five private streets patrolled by private security officers who enforce a private speed limit. First-time speeders get a warning; the second offense brings a hearing and a reprimand; a third offense means a five-hundred-dollar fine, and the car and driver are banned from the private streets for a month.⁶³

The Rancho Santa Fe Association was established in 1927 in San Diego County, California. It governs the sixty-two-hundred-acre development of lavish homes that includes twenty-five hundred voting members in eighteen hundred residences. It has sixty-five full-time employees and a \$3 million annual budget. The association had enough political influence with the county government to forestall construction of a badly needed arterial road through the development, despite strong support for the route in the adjoining city of Encinitas.⁶⁴

In Vista, California, a homeowner whose income dropped because of a lost job and a divorce fell behind in paying her monthly association dues. The association obtained a lien on her property for the \$192.04 it was owed, plus legal fees and costs. She resumed paying the dues on time, but when she disputed the amount of fees, late charges, and costs (which brought the lien to \$857.13), the association served her with a foreclosure summons. In desperation, the homeowner got an advance on a credit card and paid the full amount, but said, "To think that for a few dollars they can come in and take your house out from under you—I can't believe it."⁶⁵

In Fort Lauderdale, Florida, condominium managers ordered a couple to stop entering and leaving their unit through their back door, claiming that they were wearing an unsightly path in the lawn by taking a short cut to the parking lot. The couple retained an attorney who filed a lawsuit seeking a court's permission for the couple to use their own back door.⁶⁶

In Boca Raton, Florida, an association cited a homeowner and took her to court because her dog weighed more than thirty pounds, a violation of association rules. A court-ordered weighing ceremony was inconclusive, with the scales hovering between just under and just over the limit. After the story made national news, the association settled the suit on undisclosed terms.⁶⁷

In Delaware County, Pennsylvania, a man put up a four-foot-high fence of black fabric in his back yard to keep his young son from falling off a four-hundred-foot cliff. His homeowner association took him to court, contending that he had violated a rule against fences, but a judge ruled in his favor.⁶⁸

In Bucks County, Pennsylvania, a woman bought a twenty-two-room stone farmhouse in 1980. Six years later a development called Tyler Walk was completed next to her property, and a homeowner association was formed. In 1988 a resident of Tyler Walk reviewed the plans for the development and discovered that the woman's land was within the borders of Tyler Walk. The association began assessing her membership dues and contended that she had to live by the association's rules. She refused, and the association sued her. A judge ordered her to pay two thousand dollars in fees and late charges. When she still refused to pay, the association obtained a lien on her house and scheduled a sheriff's sale at which they attempted to sell two of her cars and a lawn mower. When there were no takers, the association had to pay towing fees for the cars. Despite the net loss, the association president said that the important thing was upholding a principle. "The law's the law," he said, and offered to forgo selling her property (but keeping the lien on her house) if the woman would agree to pay her dues in the future.⁶⁹

Near Philadelphia is a development of \$225,000 homes called Chartwell. Construction of the homes began in the late 1980s. A married couple bought one in 1989 and brought their sons' metal swing set with them when they moved in. One year later the association told them to take the swing set down, even though there were as yet no written rules regarding swing sets. When the rules finally appeared, they prescribed that all swing sets must be made of wood. Why? "It has to do with what the overall community should look like," said an attorney for the association. The couple then submitted a petition in support of his swing set that was signed by three-fourths of the homeowners, along with Environmental Protection Agency warnings about the dangers to children (in this case, aged two and four) posed by the poisonous chemicals used in pressure-treated wood—the type needed for swing sets. The association's response was to impose a daily fine of ten dollars until the set was removed and to refuse offers to compromise, which included painting the swing set in earth tones. The association also passed rules governing the placement of firewood, rabbit hutches, and trash cans on the curb. It even banned "offensive conduct," which it defined as "activity which in the judgment of the Board of Directors is noxious or offensive to other home lot owners." One homeowner asked, "Who are these little Hitlers making these rules?"⁷⁰

In Santa Ana, California, the Townsquare Owners' Association posted notices throughout the complex accusing a resident of "parking in

circular driveway kissing and doing bad things for over 1 hour." She was warned that she would be fined if another such incident happened. The woman denied the charge, retained legal counsel, and threatened a lawsuit for defamation, invasion of privacy, and infliction of emotional distress. The association issued an apology through its attorney, explaining it as a case of mistaken identity. The incident received national media attention and prompted the *Los Angeles Times* to publish an editorial asking, "How many individual freedoms are to be lost to proliferating homeowner association regulations" and saying that "condominium associations need to curb the tendency to regulate excessively."⁷¹

These examples illustrate the peculiar internal dynamics of these heirs to the garden city legacy. American CIDs are both like and unlike the garden city. The similarities include master planning of large-scale communities; isolation of the development from its surroundings and protection against change; capitalization on dislike of city life to attract residents; development of a government based on a corporate charter and attempts to replace politics with management; and creation of a government with greater powers than that of the city.

The differences, however, are profound. Designers of American CIDs dwell on the physical plan but slight the social and economic structure of the community, particularly Howard's quasi-socialist reforms; base land tenure on private ownership rather than rental from a public landlord; and do not create real, self-sufficient communities with a full economic base. American CIDs are not intended first and foremost as a vehicle for reforming society, as was the garden city. But the American CID may have greater potential for achieving Howard's goal of undermining the city than did the English new towns.

For these and other reasons, the American CID falls short of Howard's expectations regarding both the nature and the quality of relations between homeowners and their boards of directors—what could be called their micropolitics—and in their apparent impact on society, or macropolitics.

The Micropolitics of Private Governments

Instead of having a benevolent public landlord, as Howard anticipated, CIDs feature a form of private government that takes an American preference for private home ownership and, too often, turns it into

an ideology of hostile privatism. Preservation of property values is the highest social goal, to which other aspects of community life are subordinated. Rigid, intrusive, and often petty rule enforcement makes a caricature of Howard's benign managerial government, and the belief in rational planning is distorted into an emphasis on conformity for its own sake.

To many residents, association boards often seem to operate as though wearing blinders, rigidly enforcing technical rules against people's use of their own homes and ignoring the consequences of such intrusive behavior. Many CID residents casually accept the rationality of such management-mania, but others become angry and file lawsuits or refuse to obey and find themselves sued by the association. A California study found that 44 percent of board members had been harassed or threatened with lawsuit during the preceding year. The CID resident must choose between conformity and conflict.⁷²

This predilection toward litigation is primarily the result of the particular kind of private government found in CIDs. To understand why this is so, one needs to understand some of the legal terms and concepts that distinguish today's CIDs from ordinary subdivisions.

Planned unit developments, or PUDs, are single-family detached homes built according to a master plan, generally in the suburbs. Condominiums, though at law really a form of ownership rather than a type of building, are usually multifamily housing—that is, buildings housing more than one family. Cooperative apartments, or co-ops, are generally converted apartment buildings in which owners have a share of stock in the entire building and the exclusive right to occupy a particular unit.⁷³

These forms of housing have three distinct legal characteristics that set their residents apart from other Americans: common ownership of property, mandatory membership in the homeowner association, and the requirement of living under a private regime of restrictive covenants enforced by fellow residents.

First, residents own or exclusively occupy their own units, but they share ownership of the "common area" of the development used by all (hence the term "common interest"). The common area may include the entire building in the case of a condominium or co-op, with only the "air space" within the units being privately owned or controlled. In a PUD, the common area may include recreation centers, streets, front lawns, parks, and parking lots. Residents are assessed fees to pay for these facilities and for private services that range from police protection to local self-

government—services that were once the province of cities. Because these amenities are privately supported, only residents are allowed to use them.

Second, because common property ownership requires organization of some sort, everyone who buys a home in a CID automatically becomes a member of a homeowner association, or HOA. These are nearly always nonprofit corporations. They are set up on paper by the developer of the project while the project is in the planning stage, not voluntarily organized by the residents after they move in. The only way to resign from the association is to sell one's home and move out.

Third, because the homeowner association itself needs organization if it is to function, all residents are governed by a corporate board of directors elected by the unit owners, renters being disenfranchised but still subject to the board's authority. The board runs the development, aided by a system of committees it administers and often by a professional property manager retained by the association. The operation of the development involves collecting assessments from all owners, handling the association's finances, maintaining the common property, filing and managing lawsuits on behalf of all owners, and enforcing against the owners and renters a set of private laws drawn up by the developer and known as "covenants, conditions and restrictions," or CC&Rs. Empowered by this quasi-constitution, the board is a private government.

Ebenezer Howard wanted his Central Council to have greater powers than a city, and he accomplished that goal by basing the council's powers in property ownership rather than in principles of government. Although he prescribed a landlord-tenant arrangement, he would probably recognize the same power dynamic at work in today's residential private governments. Through private property relations, the board of directors does, indeed, have greater power over its residents than does a city.

The CC&Rs enforced by the board are a complicated system of private covenants, known generically as "deed restrictions," built into the deeds to all the homes. This device, which dates to fourteenth-century England, permits a seller of land—such as the original developer and his successor, the board—to retain control over how the land is used after he sells it.⁷⁴ The sale is conditional on the buyer's agreement to abide by certain restrictions on the way he may use or dispose of the property. The promises "run with the land," meaning that all successive buyers are bound by the same covenants as the original purchaser.

Certain particular covenants, such as racial restrictions or covenants banning children, are invalid everywhere or in some states, and many restrictive covenants were once viewed by English judges as undue restraints on the free sale of property. But that view was not widely followed in America, particularly in the early twentieth century, and today restrictive covenants are an approved legal device.⁷⁵

Today's real estate developers do not merely insert into the deeds a covenant or two, as sellers did in earlier times, such as a promise not to build a slaughterhouse or soap factory, or a promise not to build on a parcel set aside as a park. Instead, they have lawyers draft a fat package many pages long and full of elaborate restrictions that, taken as a whole, dictate to a large extent the lifestyle of everybody in the project.

The rigidity that seems to characterize CID rule enforcement was deliberately institutionalized by developers. It is maintained through the rules and laws under which CID boards operate. Even if individual board members wish to use prudent discretion in the enforcement of restrictions, and make exceptions, it is often difficult for them to do so. Individual association members can sue the board for failing to enforce the rules. Moreover, attorneys and property managers who specialize in servicing CIDs advocate strict rule enforcement in order to avoid setting precedents that could be used to justify further exceptions, and, ultimately, undermine the entire regime. Even if many residents and board members wish to change a rule, the task is made especially difficult by developers' "super-majority" requirements, which mandate approval from 75 percent of *all* owners, not just those voting.

This form of private government is strikingly different from that of cities. In a variety of ways, these private governments are illiberal and undemocratic. Most significantly boards of directors operate outside constitutional restrictions because the law views them as business entities rather than governments. Moreover, courts accept the legal fiction that all the residents have voluntarily agreed to be bound by the covenants by virtue of having bought a unit in the development.

Macropolitics: Secession of the Successful?

Rather than offering a solution to the problems of big cities, as Howard intended, CIDs exacerbate them. The developments take over many municipal functions for those who can pay the price, offering a

competing sector of pay-as-you-go utilities that the Advisory Commission on Intergovernmental Relations (ACIR) has called "the most significant privatization of local government responsibilities in recent times."⁷⁶ This privatization was undertaken without consideration of its implications and consequences, however, and it is different from other forms of privatization in a number of significant ways. Most important, it carries with it the possibility that those affluent enough to live in CIDs will become increasingly segregated from the rest of society.

The segregationist trend was actively promoted by the Federal Housing Administration, which in 1964 adopted an Urban Land Institute policy advocating that open spaces, recreation centers, and other common property in large, planned developments be owned by private homeowner associations.⁷⁷ The ULI argued that public ownership of such facilities should be discouraged because "the use of general tax funds for maintenance of facilities requires availability of such facilities to the general public." The "suitability" of this arrangement, ULI argued, "remains doubtful."⁷⁸

In 1967 Stanley Scott argued that this policy amounted to the institutionalization of existing segregated housing patterns.⁷⁹ This impression was reinforced, he argued, by ULI's recommendation that homeowners and renters should not belong to the same organization because "normally renters and homeowners have different interests and do not mix well in an association."⁸⁰

Scott's conclusions were prescient regarding the implications of the FHA/ULI policy:

Our society has important goals other than the creation of high-quality, upper-class, single-family, amenity-filled neighborhoods whose property values are secure and whose home owners never fail to meet a mortgage installment—laudable as some of the latter objectives may be. In the next two or three decades residential patterns will be established or rearranged, and many other features of existing and future urban communities determined. The policies under which this is done will influence fundamentally the quality and nature of future urban life. Decisions made during this period will also influence the role, strength, effectiveness and perhaps even the survival of our institutions of public local self-government.⁸¹ (Emphasis in original)

Instead of housing people from all walks of life, as Ebenezer Howard envisioned, CIDs compete with cities for the affluent, siphoning off their tax dollars, their expertise and participation, and their sense of identification with a community. Such developments have come to be invoked as part of a disturbing trend called the "secession of the successful" by liberal economist Robert Reich, who is Secretary of Labor under President Clinton. "In many cities and towns, the wealthy have in effect withdrawn their dollars from the support of public spaces and institutions shared by all and dedicated the savings to their own private services," Reich writes. "Condominiums and the omnipresent residential communities dun their members to undertake work that financially strapped local governments can no longer afford to do well—maintaining roads, mending sidewalks, pruning trees, repairing street lights, cleaning swimming pools, paying for lifeguards and, notably, hiring security guards to protect life and property. (The number of private security guards in the United States now exceeds the number of public police officers.)"⁸²

Similar observations have been made by conservative social scientist Charles Murray, who views the growth of CIDs as a symbol of America becoming a "a caste society" with "utter social separation" of the rich from the rest of society. Murray envisions a day when this growing sector of rich Americans will come to view cities as the internal equivalent of Indian reservations—places of deprivation and dysfunction for which they have no responsibility.⁸³

CIDs AS UTOPIAN COMMUNITIES

Lamentable though they may be, such sentiments as those Murray anticipates are consistent with one aspect of the utopian tradition. Utopian thinkers are inspired to create their ideal worlds in large part because of their dissatisfaction with the world around them, and their solutions tend to be reactive and one-dimensional. As Frank E. Manuel and Fritzie P. Manuel note in their massive study of utopian thought, "The great utopians have all borne witness to their anger at the world, their disgust with society, their acute suffering as their sensibilities are assailed from all sides. They withdraw from this world into a far simpler form of existence which they fantasy. The escape from everyday conflicts

and disappointments has a childlike quality. And their way back from utopia, their return to the real world they had abandoned, is often characterized by devotion to a fixed idea with which they become obsessed. They clutch frantically at this overvalued idea that at once explains all evil and offers the universal remedy, and they build an impregnable fortress around it."⁸⁴

This description fits Ebenezer Howard reasonably well, with his revulsion at the perceived evils of cities and his vision of solving them all through urban planning. A similar tone also characterized the statements of early proponents of the CID boom, including those at the Urban Land Institute, who contended that "the homes association is an ideal tool for building better communities." "The explosive growth of our cities, their trend to gigantism, and the high mobility of their residents are rapidly destroying a sense of community among individuals in urban America. Constructive forces are needed to counteract these negative aspects and to utilize the opportunity that growth offers to build better communities. The best possible way to bring about—or to revive—a grass roots sense of community is for home owners to control nearby facilities of importance to them and through this to participate actively in the life of their neighborhoods."⁸⁵

This is a statement of utopian faith: the route to community is through joint ownership of private property by an exclusive group living according to its own rules.⁸⁶ Such a conviction fits into one tradition of utopian thought. In her study of communes and utopias, Rosabeth Moss Kanter found that, historically, "the initial impetus for the building of American communes has tended to stem from one of three major themes: a desire to live according to religious and spiritual values, rejecting the sinfulness of the established order; a desire to reform society by curing its economic and political ills, rejecting the injustice and inhumanity of the establishment; or a desire to promote the psychosocial growth of the individual by putting him into closer touch with his fellows, rejecting the isolation and alienation of the surrounding society."⁸⁷

Kanter argues that the first two themes were most prominent during the nineteenth century, and the third "emerged after World War II and became especially important in the 1960s."⁸⁸ It is this strain that best fits the CID movement, which, indeed, grew during the postwar era and most rapidly during the 1960s. When ULI claimed that CIDs were the key to bringing about, or reviving, a "grass roots sense of community," it was promoting a utopian ideology for the American middle class. CIDs are the

culmination of a particular strain of utopian thought that had its roots in eighteenth-century England, emerged in Bellamy's novel, was popularized by Howard, and then was promoted by powerful real estate interests in the United States.⁸⁹

Yet there are ways CIDs differ from the utopian schemes that were typically the result of spontaneous personal interaction rather than corporate initiative. Most significantly, communes and utopian communities such as those that proliferated in the nineteenth century and during the 1960s were voluntary in more than a legal, technical sense.⁹⁰ As Kanter points out, this distinction is critical. "These are voluntary, value-based, communal social orders. Because members choose to join and choose to remain, conformity within the community is based on commitment—on the individual's own desire to obey its rules—rather than on force or coercion."⁹¹

Legal fictions to the contrary notwithstanding, CID membership is not voluntary for the many residents who are there because of price, location, or limited options. Such residents may not perceive the rules as sensible or government by neighbors as legitimate. Consequently, CID governing bodies make up for their lack of moral authority by relying on the coercive power of the public legal system for rule enforcement.

At a deeper level, the privatistic utopian vision of CIDs appears fundamentally flawed and self-contradictory. This version of utopia, like so many others, reflects what Manuel and Manuel might call an "overvalued idea"—that privatism is the ultimate basis of community and the only cure for the perceived evils of modern cities.

But the argument that ownership of private property is the ideal basis for a sense of community seems inherently mistaken. Sociologists who studied California CIDs found that, instead of fostering a sense of community, CIDs have evolved "a culture of non-participation" that is "rooted in the very structure of the common-interest development." The developments are "defined by shared ownership of private property" in a culture that links ownership of private property with freedom, individuality, and autonomy rather than with responsibility to the surrounding community. Consequently, CIDs contain "an inherent contradiction . . . [and] the formal organization which embodies this contradiction will be resented, and people will generally not participate or will do so in order to protect their property rights, not out of a recognition of community interdependence."⁹²

In spite of its shortcomings, the utopian appeal of CID housing re-

mains an integral part of the intense marketing that has helped it to spread across the country at a rapid rate.

This book explores several main themes. I contend that the rise of CID housing is a unique, ad hoc form of privatization carrying with it significant social and political consequences that never have been adequately considered by government or academics. CIDs represent the de facto privatization of local government services for the few. They have enormous potential for creating divisiveness in urban areas because they tend to reinforce existing conflicts over the nature and extent of local government services and over who should pay for them. CID housing reinforces and institutionalizes the separation of suburb and city and extends that separation into the city itself; further emphasizes the existing dominance of privatism in suburbia; attenuates the sense of responsibility CID residents might otherwise feel for the city as a whole, leading to increasing demands for special tax breaks; and promotes a kind of segregation different in kind and degree from that produced by simple suburbanization.

I argue that the organizational structure of CIDs and their private governments departs from accepted notions of liberal democracy in a variety of ways. I suggest that CID housing promotes an ideal of citizenship that is limited and limiting and has significant implications in the area of civil liberties. The often-heard claim that CID housing is an expression of American traditions of local democracy is, I argue, unconvincing.

I also argue that the spread of CID housing has important consequences for politics at all levels of government. Over the past two decades, the professionals who build and service CIDs have become a significant force in interest group politics in many states. To a large extent, they have been able to shape legislative and judicial policy making, prevent meaningful regulation of CID activity, and keep the discourse on such matters largely private. There are attempts under way in some states to organize millions of CID owners into a voting bloc, raising the possibility of mass political action.

My organizational approach is basically historical, and I trace these themes in the context of describing the development of CID housing. In Chapter 2 I discuss the evolution of restrictive covenants from their inception in medieval England, when they were used primarily to prevent adjoining landowners from harming each other's property, through 1928, when they became the basis for the local private government of

Radburn in New Jersey. During this period restrictive covenants, enforced by homeowners and homeowner associations, were primarily a way to create, market, and maintain exclusive use of open spaces and other amenities for the wealthy.

I discuss the period from 1928 through the late 1950s in Chapter 3, concentrating on the post-World War II housing boom. The focus here shifts from exclusivity to exclusion. Homeowner associations, both mandatory and voluntary, were an important part of efforts by developers, real estate agents, and the Federal Housing Administration to create homogeneous neighborhoods segregated by race and class. When racially restrictive covenants and segregated public facilities were outlawed, homeowner associations became, for some, a way of maintaining segregation through private action. This era contributed a legacy of exclusion to CID housing.

I deal with the late 1950s through the early 1970s in Chapter 4, emphasizing the role of land economics as the primary explanation for the boom in CID construction that began in 1964. I stress the role of an informal partnership between the Urban Land Institute, a developer organization, and the Federal Housing Administration in promoting CID housing as a way to build large quantities of middle-class suburban housing despite increasing land costs.

I continue the story from the early 1970s to the present in Chapter 5, concentrating on the problems with CID governance and management that began to appear as this form of housing spread, and the way the development industry responded to that challenge. My focus is on the creation in 1973 of the Community Associations Institute (CAI) by the Urban Land Institute and the National Association of Home Builders. I trace the history of CAI as it evolved from being something approaching a public interest group, intended to provide institutional support, education and training to CID boards, to its present role as an influential trade association and special interest group dominated by lawyers and property managers. One result, I argue, is the institutionalization of a heavy-handed managerial focus in CID governance.

In the final three chapters I deal in one way or another with the present. In Chapter 6 I analyze homeowner associations as private governments, discussing the concept of private government generally, showing why homeowner associations fit that description, and discussing the ways they depart from accepted liberal democratic norms.

Chapter 7 is a case study of the relation between CIDs and the legal

system, using California as the case in point. In that influential state where CIDs have proliferated so rapidly, there have been opportunities for government to come to grips with the social and political consequences of this form of housing. CID advocates have been successful in preventing the courts and legislature from treating CIDs either as private governments or businesses, however, leaving them with a special, unregulated status.

In the final chapter I consider CID housing as a form of privatization, and discuss some of the ways it differs from other privatization schemes. I contend that the unexamined consequences of a continued, unregulated spread of CID housing include a potential for radical polarization in local politics over taxation and service issues, and the literal or functional secession of affluent CID residents from the city.

The burden of my argument is not that common interest housing is inherently bad. To the contrary: I do not romanticize the mythical, idyllic American suburb or small towns like the one in which I was born, nor do I wish to return to a past that never was. I acknowledge that increased density and cooperative living arrangements are probably necessary, particularly to meet the housing needs of people with low to moderate incomes. I have no quarrel with the idea of planning entire communities nor with the belief that private land use arrangements and controls can be efficient and useful if properly applied. I think that new forms of private home ownership and rental involving common property should be explored. Certainly I have no objection to strengthening local democracy.

I am not troubled by these principles but by what has been done in their name. Where CID housing is concerned, the gap between theory and practice, and between rhetoric and reality, is enormous. This gap, I believe, is the result of inadequate participation by the public in what has so far been almost entirely a calculus of private values. My emphasis is on the fact that particular forms of CID housing with obvious deficiencies have been replicated endlessly with so little public oversight. In effect, the spread of CID housing as we know it represents a near-total privatization of the process by which urban and suburban land is converted to residential property, a process in which the public has a substantial interest. Guided by considerations of private profit, real estate developers have been permitted to decide how our cities will be laid out. In the process, they have created a new form of housing that, I argue, poses a range of significant public issues.

2

Restrictive Covenants and the Rise of Common-Interest Housing

"How can a section of a town get what it is prepared to pay for? How can part of a town carry on a more advanced form of living than the municipality as a whole is ready to afford?"—Charles S. Ascher, 1929

In 1928 Charles Stern Ascher—lawyer, political scientist, city planner—had the task of finding a legal way to create a private city for the affluent within the borders of an existing political jurisdiction. He found the answer in what he called variously "private government," "government by contract," or "extra-municipal administration," an entity created and

identity of CID private governments was an asset rather than a liability from the standpoint of CID advocates, and, because of the lack of any substantial organized opposition, no change appeared likely.

The regular legislative success of CID lobbyists and interest groups in California was only one indication of the degree to which those involved in common-interest housing were becoming an important factor in politics and society. Yet in California and elsewhere, the full implications of the rise of CID housing remained unexamined.

8

Conclusion: Reflections on Privatopia and the City

I am trying to envision what happens when 10 or 20 per cent of the population has enough income to bypass the social institutions it doesn't like in ways that only the top fraction of 1 per cent used to be able to do.

—Charles Murray

The continuing debate over whether the wealthy are paying their fair share of taxes obscures a larger issue, with more profound implications for America:

the fortunate fifth is quietly seceding from the rest of the nation.

—Robert Reich

Samuel Johnson ends his novel *Rasselas* with a conclusion in which, he tells the reader, "nothing is concluded." This final chapter is less an attempt to conclude than to discuss some of the broad themes raised thus far and particularly to consider some of the social and political consequences being wrought in urban America by the spread of CID housing.

At the end of the nineteenth century, Ebenezer Howard envisioned a

new kind of city that would, he believed, gradually transform society if enough of them could be built. His vision combined both physical planning and social engineering ideas. When the garden city idea was transplanted to the United States it was put into practice by real estate developers who wished merely to maximize profits and did not share Howard's utopian social beliefs. Consequently, they emphasized the physical at the expense of the social, paying far more attention to the layout of streets, the location of swimming pools and parks, and the colors of houses than to the nature of the communities they were creating. American CIDs thus took on a bifurcated nature: their physical planning became ever more sophisticated, benefiting from constant study and innovation, but their "constitutions" remained antiquated and inadequate. Residents were expected to run each other's lives through private governments empowered by a stack of boilerplate deed restrictions, endlessly replicated and unchanged since before the Great Depression.

Despite the developers' general lack of interest in transforming society, Howard was right in believing that making many copies of a new kind of city, as American community builders have done, could lead to wider social change. Howard anticipated that the superiority of the garden city and the life it afforded its residents would become so apparent that people would leave the old cities, property values would collapse, and urban neighborhoods would become slums. This, he felt, was a good thing, because it would lead to the city itself being reconstructed on the garden city model: "London must die. . . . Elsewhere new cities are being built: London then must be transformed." A "new city," he believed, would "rise on the ashes of the old."¹

Ninety-one years after Howard anticipated the death of the city and its replacement by a new form of planned community, Robert H. Nelson, an economist in the U.S. Department of the Interior, wrote that homeowner associations could gradually replace existing municipal governments. Nelson, like Howard, envisioned that CID housing and its particular form of private government would not be confined to new construction in outlying areas but that the model would prove superior to public local government and could gradually replace it. "The provisions of RCAs [residential community associations] could be extended to the private governance of existing neighborhoods that consist now of individually owned properties. Using the RCA model, the concept would be to establish the private neighborhood as a building block for metropolitan political and economic organization."²

Nelson anticipated that the gradual replacement of cities by CID private governments would have "the potential for making some changes of fundamental importance for the political and economic organization of metropolitan areas." "If RCAs were to become the prevailing mode of social organization for the local community, this development could be as important as the adoption in the United States of the private corporate form of business ownership. We would have two basic collective forms of private property ownership—the condominium (or RCA) form for residential property and the corporate form for business property."³

It is too early to say whether Howard and Nelson are right about the demise of the city, but they were right in recognizing that the existence of an alternative form of political and social organization could bring about broad social and political change. CIDs present the city with a set of profound challenges arising from the idea of the garden city as a new form of social and political life.

Although it has not taken the benign direction Howard anticipated, CID housing may represent the realization of at least part of Howard's social vision: it has the potential to threaten and undermine the city. In its present form, however, it does so without providing the utopia he offered. In place of Howard's utopia is privatopia, in which the dominant ideology is privatism; where contract law is the supreme authority; where property rights and property values are the focus of community life; and where homogeneity, exclusiveness, and exclusion are the foundation of social organization. There is no reason to believe that CID housing, as currently produced, offers a superior form of social organization to the municipality.

Nonetheless, in the context of American urban politics it is clear that CIDs are not only the present but the future of American housing. The construction of residences is a private undertaking that is increasingly dominated by large corporate developers who have adopted CID housing as the norm for mass production. A century ago such developments were simply a way to offer exclusive use of recreational facilities to affluent buyers. Later, modern community builders used the same vehicle to build large quantities of middle-class housing in an environment of rising land costs and resulting high density. To offer green open spaces and other facilities while keeping density high, developers created common ownership arrangements. These arrangements required ongoing management and maintenance. Cities and counties expressed no desire to undertake that responsibility, and developers had no interest in subject-

ing themselves to a greater degree of involvement with government regulation, so residential private governments evolved as the standard approach. All these factors make CID housing popular with developers.

Because the development industry will continue to build CID housing unless prevented from doing so, and because so much CID housing has already been constructed, governments now have no choice but to address the social and political consequences of the spread of this form of housing. The best and most logical way to do this is to view the spread of CID housing as a *de facto* privatization decision and evaluate it in that context.

CID HOUSING AS PRIVATIZATION

The Advisory Commission on Intergovernmental Relations called the rise of CID housing "the most significant privatization of local government responsibilities in recent times." As ACIR notes, "very little is actually known about the extent to which RCAs substitute private for public expenditures." But it is clear that privately providing what would otherwise be municipal and county services to some thirty million people must result in substantial, albeit undetermined, savings to local governments.⁴

It is no accident that the use of this particular form of privatization began to increase greatly in the mid-1970s, when local governments found themselves facing demands for more services despite their shriveling revenues. Local tax revolts and reduced federal aid to cities coincided with a deliberate shifting of responsibility for many social and regulatory matters from the national level to state and local government. The result, for many cities, was the specter of budget deficits and potential insolvency.⁵ At the same time, the administrations of Presidents Carter, Reagan, and Bush promoted, subtly or explicitly, an existing popular dislike for government and a general confidence in private enterprise. Together, the twin demands of budget deficits and renewed belief in the private sector legitimized a search for new ways to perform government functions. As John D. Donahue notes in *The Privatization Decision*, "The confluence of these two trends has led to great hopes and claims for 'privatization,' the practice of delegating public duties to private organizations."⁶

The rapid spread of CID housing was clearly a part of the overall privatization movement and was spurred by the trends Donahue discusses. The sudden acceleration in CID construction began in the mid-

1970s, when deficits began to loom as demands increased. Cities and counties had a greater incentive to permit, and even encourage, developers to build subdivisions complete with what amounted to a private infrastructure because it allowed for increasing property tax revenues by adding more residences, but at reduced public cost.

To view CID housing as a kind of privatization requires consideration of the meaning of the word. Donahue observes that the term is imprecise, in part because the idea was imported to the United States from Europe, notably Great Britain, where it meant something different:

In other countries, privatization has been mostly a matter of selling off parts of an abundant stock of public assets. Through the mid-1980s the Thatcher government sold British Gas, British Telecom, Jaguar, British Airways, the Sealink ferry service, all or part of its stakes in British Sugar, British Aerospace, British Petroleum, and British Steel, as well as nearly one million public housing units and various public utilities. . . . But America never could equal other countries in selling off government enterprises and assets for one simple reason: America has never *had* all that many government enterprises and assets. . . . Accordingly, as other countries were pondering or pursuing their version of privatization—severing the government connection with segments of the commercial economy—in the United States, privatization had a quite different meaning. Aside from a strictly limited number of asset sales, it meant (and continues to mean) enlisting private energies to improve the performance of tasks that would remain in some sense public. (Emphasis added)⁷

The uniquely American meaning of privatization highlights the complexity of the issues involved in any such decision. Donahue seeks to provide guidelines for determining when private performance of public tasks is a good idea. He argues for getting beyond the "tidy labels" of public and private and concentrating instead on two factors: efficiency and accountability.⁸ Whether the issue is privatized prisons, trash collection, or job training, he argues, these remain the two critical dimensions.

Donahue's approach to privatization illuminates the degree to which the spread of CIDs was, and is, different in important ways from other efforts to privatize. It also suggests that serious questions need to be asked regarding this particular application of private energies to a public task.

DE FACTO PRIVATIZATION

The title of Donahue's book—*The Privatization Decision*—makes what most people would consider a safe assumption: that privatization involves a conscious public decision to shift a public function to some form of private payment or delivery. This would imply that public officials would consider various approaches and specific plans, evaluate the costs and benefits, consult experts, hold public hearings, and *decide* to privatize. In the case of CID housing, this decision was never made. Instead, the move toward privatization was a matter of inaction. It was de facto privatization; it was done over decades, without a public discussion of whether it should take place; it happened not by government action, but by inaction, as private developers gradually transferred local government functions to private corporations. The risks and benefits of various approaches were never calculated and presented to the public for a decision. Although millions of Americans have purchased units of CID housing, they have done so without realizing that they were to become part of a collective decision to privatize local government, and without knowing the implications of that decision.

Although governments may have abdicated certain responsibilities in permitting a form of de facto privatization to occur, it is unlikely that the process will continue unexamined. CIDs have created a number of problems for local and state governments that must now be addressed. By the early 1990s only willful blindness could keep governments from recognizing that CID housing involves privatization of important public functions, with significant public consequences. Governments will soon be considering some of the fundamental questions that would have been asked at the outset had a conscious decision been made.

Beginning the evaluative process now, however, severely limits the options available to government. A non-CID nation is no longer possible, and policies must take into account a substantial CID housing sector. Governments are limited to asking such questions as whether there should be sixty million, or one hundred million, CID residents, and what kinds of intergovernmental relationships should exist between cities and their private counterparts. Moreover, the nature of CID private governments is already determined by their regimes of deed restrictions, and such private property arrangements are not easily changed by government action.

PRIVATIZATION OF THE LAND PLANNING PROCESS

Donahue's conception of privatization contemplates the use of private energies to perform "public tasks," or "tasks that would remain in some sense public." CID housing differs from other forms of privatization because it involves the private takeover not only of such government functions as trash collection, street maintenance and zoning. At a deeper level, CID housing is a method for the conversion of large amounts of undeveloped land to residential real estate, something many believe to be a matter of public concern. But the policy process involved in real estate development has itself become privatized, and CID housing is an important part of that privatization.

Decades ago it was argued that urban land is a community resource, valuable to all and finite. Those who hold this view point out that the way in which urban land is developed affects the entire community. Consequently, to hold that important development decisions could be made by the landowner alone is, they feel, tantamount to arguing that factory owners should be permitted to pollute everybody's air at will because, after all, the factory is their private property. It has been suggested that government land planners should be viewed as "trustees" of the land as a public resource and accountable for its misuse, just as private trustees would be if they mishandled trust property.⁹

Common-interest developments pose special problems to the trustee theory. The nature of CID housing encourages an especially low level of public involvement in the process of real estate development, from the initial concept through day-to-day administration. Indeed, the self-sufficiency of CIDs—they allow a city or county to add taxpayers without having to pay for a full range of new infrastructure in return—is viewed as a major selling point in persuading local government officials to grant building permits. CIDs are sold as turnkey "packages" with substantial private infrastructures that will not place additional burdens on the existing community. Consequently, public officials can in some way justify being less concerned about the details of a CID than they would about a subdivision that would require substantial public expenditures. This is not to deny the substantial role local officials play in granting building permits; but CID construction tends to shift public scrutiny to the impact of the development on the surrounding community rather than to the internal nature of the new community. In this sense CID housing makes it easier for whatever public interest there is in the use of America's urban

land to be submerged beneath the private values calculus of the corporate developers.

There is a larger sense in which CID housing reflects a movement toward privatization of the entire real estate development process. Such housing is a vital part of what Marc Weiss calls "the rise of the community builder," who "designs, engineers, finances, develops and sells an urban environment."¹⁰ As Weiss demonstrates, "Subdividers who engaged in full-scale community development also performed the function of being private planners for American cities and towns."¹¹ At every turn in the history of CID housing, the ideas and initiatives have come from private developers who, as Weiss puts it, have seen their innovations "fully incorporated as public values to be standardized and emulated."¹²

In short, CID housing represents more than the privatization of certain local government services. It constitutes and facilitates privatization of the land planning function itself and of the process by which it is decided where and how people will live in American urban areas. CID housing is the product of privatized policy making in which most of the key decisions were made by NAREB, NAHB, ULI, CAI, and other private organizations and individuals. Such government agencies as FHA have for the most part ratified and legitimized those decisions. This is privatization at a deeper level than normal usage of the term would contemplate.

ACCOUNTABILITY AND THE PRIVATIZATION OF LOCAL GOVERNMENT

Donahue argues persuasively that any decision to privatize must involve provisions for accountability to the public.

A special burden of accountability accompanies grants of public authority. This is so for three potent reasons. First, some of the most crucial functions of any society must be carried out collectively. Because weighty choices are at stake, we worry about accountability in public tasks. Second, the public at large—precisely because it is so large and diverse a category—is particularly exposed to failures by authorities to take into account its interests. Third, the individual is inherently vulnerable before the powers of government in ways that history richly illus-

trates, which the Constitution (and America's other defining documents) seek ingeniously to remedy. While accountability is a fundamental aspect of social existence, it is most often seen as a *problem* in the area of government. (Emphasis in original)¹³

Judged by any or all of these criteria, the privatization represented by CID housing, if it is to occur, should be accompanied by provisions for accountability. The functions involved, including the specific local services and land planning itself, are costly and of great importance, and they clearly expose the public to the consequences of "failures by government to take into account its interests." Moreover, the individual CID resident is exposed to treatment that would be unconstitutional had these government functions not been privatized.

Yet the delegation of governmental powers to private entities was done without adequate provisions for accountability. Nowhere is this more apparent than in the reliance CID housing has on untrained, unregulated, volunteer directors, who are elected from among the residents to run private local governments.

At the outset, it is apparent that CID "volunteers" are different than those who volunteer for charitable purposes in other nonprofit institutions. Jon Van Til, one of the leading figures in the study of voluntarism, discusses the important functions performed in the "third sector," which exists apart from business and government. He defines the term *volunteering* as "a helping action of an individual that is valued by him or her, and yet is not aimed directly at material gain or mandated or coerced by others. Thus, in the broadest sense, *volunteering* is any uncoerced helping activity that is engaged in not primarily for financial gain and not by coercion or mandate. It is thereby different from work, slavery, or conscription."¹⁴

Using Van Til's definition, residents in CIDs are not volunteers, because membership in the homeowner association is mandated. Residents are, in essence, "conscripted" into the association automatically, and that conscription undermines the legitimacy of a regime supposedly based on voluntary consent.

But the situation is more complex for those residents who, once drafted into the association, choose to serve as directors. For them, altruistic and materialistic motives are intertwined because of the nature of common property ownership. They are volunteers because they are not paid and because they are not coerced into serving on the board.

Yet if their motivation to serve comes from a desire to to protect and enhance their own property values, then materialistic considerations are involved. Some people undoubtedly serve because they feel that they are among the few residents qualified, by education and experience, to handle the responsibilities involved in protecting the development's market value. Others may serve because they enjoy wielding power over their neighbors.

Whatever their motivations, CID directors are essential to the operation of residential private governments, and in that sense they are not like other participants in the third sector. In fact, they are functioning in the governmental sector, and the way they perform their role is perhaps the most critical variable in the success or failure of CID housing, no matter how those terms are defined. Consequently, CID housing is a unique form of privatization, placing the fate of the experiment in the hands of untrained, uncompensated amateurs; establishing no qualifications for their participation; creating no public institutional support structure for on-the-job training; and leaving the directors essentially free of public regulation, increasingly with immunity from private regulation through lawsuit.

If a city government interested in privatization proposed to have the community's garbage collected or its policing done or its fires extinguished by volunteers, it would ensure that the volunteers were held accountable in some fashion, offering compensation or training, requiring minimal qualifications, imposing regulations, or establishing some other kind of oversight.¹⁵ Steps would be taken to ensure that the public task being delegated to this private agent was being done properly. A government would be considered irresponsible if it did otherwise. Yet no accountability mechanisms were established for what the Advisory Commission on Intergovernmental Relations calls "the most significant privatization of local government responsibilities in recent times." In that sense as well, the decisions behind CID housing differ from other privatization decisions.

Byron Hanke and others understood as early as 1964 the critical importance of CID board members and the need to establish institutional support for them. It was this awareness that led to the creation in 1973 of the Community Associations Institute, whose purposes include the standardizing and professionalizing of CID governance through the training of board members, managers, lawyers, accountants, and others. This effort has been a significant step toward filling the "accountability gap,"

but it is insufficient and raises another question of privatization. There is no provision for ensuring that the idea of governance held by CAI is acceptable to the larger community or that CAI is pursuing its objectives efficiently and effectively.

In fact, CAI has evolved into a trade association controlled largely by lawyers, property managers, and others who have an economic interest in seeing that CID private governments remain heavily dependent on professionals like themselves. These individuals, and the standards of their respective professions, can be seen as a way of ensuring a kind of limited accountability for CID boards. But this arrangement leaves the definition of proper CID governance in the hands of professionals who are not under any public mandate to treat CID boards differently from any other corporate client—a situation that can ensure only the kind of board accountability corporate directors have to their shareholders. These professionals can be counted on only to encourage CID directors to use good business judgment, follow accepted management practices, honor their fiduciary duty to the membership, and strictly enforce the developer's rules. This accountability mechanism includes no provisions for responsibility to the larger community. Indeed, lawyers or property managers who advised a CID board to place a high value on the interests of nonresidents might be violating their professional duty to the client.

It is questionable whether strict adherence to the corporate managerial model is advisable. Board members and residents have to live together as more than shareholders and more than neighbors; they constitute an involuntary political community.

The managerial model of governance and what has been called the neighborly community model are the two roles within which CID residents and boards typically understand the board's activities. That is, the boards are urged by professionals to act as managers, but residents often expect them to just act like good neighbors. In fact, as sociologists Greg Barton and Carol Silverman argue, neither of these models is adequate because both are inherently private; neither takes note of the public and political character of this form of home ownership. It is not enough for board members to simply follow good management practices; neither is it enough to just act like good neighbors might in a development without common property ownership.¹⁶

The CID boards are neither businesses nor voluntary third sector neighborhood organizations. They are private governments that have been charged with what would otherwise be public responsibilities—a

fact that would seem to require a means for ensuring that the volunteers who operate them will act as though they were running governments. Yet no mechanism exists to ensure accountability of CID boards as governments. There is no method in place to move CIDs away from one extreme of excessive reliance on managers and lawyers or the other extreme of excessive informality, and toward becoming functioning, evolving, self-governing communities.

AMERICA: A HOUSE DIVIDED?

The privatization of local government brought about by the rise of CID housing is unusual in one other sense: the privatized services are provided only for some and not for others, and the same services must continue to be provided for the rest of society. Consequently, those paying for and receiving the private services can be expected to resent paying for duplicate public services they do not need. For this and other reasons, this "privatization for the few" has the potential for creating and amplifying social division and conflict between CID residents and local governments. Some feel this division is reaching the point at which many CID residents may develop an attenuated sense of loyalty and commitment to the public communities in which their CIDs are located, even to the point of virtual or actual secession.

CIDs give city residents the opportunity to leave the urban setting. The departure could be literal, as in a move to a new suburban private community. It could also be functional, as in the privatization of an existing neighborhood or in a move to a fortified condominium in a redeveloped downtown. In either case, given sufficient numbers of a sufficiently desirable alternative, the result could be a gradual secession from the city that would leave it stripped of much of its population and resources. Ultimately, at least in theory, the city could become financially untenable for the many and socially unnecessary for the few. Certainly this steady secession would make the lives of those who remained in the city increasingly difficult.

Robert Reich connects the privatization inherent in CID housing with a trend he calls "the secession of the successful": "In many cities and towns, the wealthy have in effect withdrawn their dollars from the support of public spaces and institutions shared by all and dedicated the savings to their own private services. . . . Condominiums and the omni-

present residential communities dun their members to undertake work that financially strapped local governments can no longer afford to do well—maintaining roads, mending sidewalks, pruning trees, repairing street lights, cleaning swimming pools, paying for lifeguards and, notably, hiring security guards to protect life and property."¹⁷

From the other end of the political spectrum comes a similar observation by Charles Murray, who sees the growth of CIDs as a symbol of America's becoming a "caste society." He anticipates that privatized local government services will facilitate the emergence of a new caste as a powerful political force. "I am trying to envision what happens when 10 or 20 per cent of the population has enough income to bypass the social institutions it doesn't like in ways that only the top fraction of 1 per cent used to be able to do. . . . The Left has been complaining for years that the rich have too much power. They ain't seen nothing yet."¹⁸

Once able to "bypass" the city by virtue of privatized services and political power, this new caste would, Murray thinks, come to view urban centers in much the same way mainstream America views Indian reservations today. Cities would be seen as places of squalor for which the new caste would acknowledge no responsibility.

The schism Reich and Murray anticipate is likely to become most apparent in the context of electoral politics at the state and local level. The specific issues involved in these impending political conflicts will most probably stem directly from the privatization of government services for some and not others. The cleavage produced by this differential privatization is intertwined with, and reinforced by, other divisions. These include homeowners versus renters, suburbs against the cities, and the differences in race, class, and age that are associated with home ownership and residence.

Suburb versus City

The division between CID residents and others is reinforced by the existing cleavage between suburbanites and the city. Most CID residents are suburbanites, and suburbanites, it appears, are developing a distinct and significant political profile on issues related to taxation and the city.¹⁹

In an article entitled "The Suburban Century Begins," William Schneider pointed out that the 1992 presidential election would be the first in which a majority of the voters were suburbanites.²⁰ After decades

of suburbanization, America had become a "suburban nation with an urban fringe and a rural fringe." This, he argued, would have enormous impact on electoral politics, in large part because of the privatization of public life in the suburbs. This privatization includes transportation by private auto instead of public conveyance; entertainment in the home by television and videotape instead of in public places; and shopping in malls instead of in city streets. Schneider quotes architects Andres Duany and Elizabeth Plater-Zyberk, who said, "The suburb is the last word in privatization, perhaps even its lethal consummation, and it spells the end of authentic civic life." Schneider amplifies on this idea: "To move to the suburbs is to express a preference for the private over the public. . . . Suburbanites' preference for the private applies to government as well. Suburban voters 'buy' private government—good schools and safe streets for the people who live there. They control their local government, including taxes, spending, schools, and police. . . . A major reason people move out to the suburbs is simply to be able to buy their own government. These people resent it when politicians take their money and use it to solve other people's problems, especially when they don't believe that government can actually solve those problems."²¹

The privatized atmosphere of suburban life produces a gap between city and suburb where certain issues are concerned, particularly those dealing with property ownership and taxes. As Schneider observes, "Can suburban voters, then, be said to have a defining characteristic? Yes: suburban voters are predominantly property owners. And that makes them highly tax-sensitive."²²

When political issues related to the social and economic problems of the city emerge, these factors converge. Suburbanites live in a privatized environment in which their own needs are satisfied largely through private funds and by private means. Moreover, they bear the burden of property tax, the principal source of revenue for local government services. Schneider summarizes the result in a hypothetical question and response: "But isn't it 'in the national interest' to bail out the cities? The suburbs have given their answer: walled communities."²³

Homogeneous Communities?

The prospects for concerted political action, particularly at the state and local level, could be enhanced by the degree to which CID residents

were homogeneous, or similar in ways that might contribute to shared political values, interests, and attitudes. Critics of CID housing, and of suburbia in general, often point to what they consider an unhealthy homogeneity of population. They point to the concentrations of white middle-class homeowners in the suburbs and of less affluent, minority renters in the cities.

A number of sociologists and urban theorists have debated the existence and desirability of age, race, and class homogeneity in American suburbs and in CIDs. Some argue that heterogeneous communities, such as those Howard anticipated for his garden city, enrich community life, promote tolerance and reduce social conflict, provide children with a broadened education about the diversity of humankind, and expose people to alternative ways of living. Homogeneous communities, they contend, do the reverse: they deprive people of social resources and thus stultify their lives; promote isolation and conflict between residents of the community and the rest of society; stunt children's ability to relate to people unlike themselves; and leave residents frozen in their present way of life.²⁴

Others, including Herbert Gans, argue in favor of "selective homogeneity at the block level and heterogeneity at the community level." Gans maintains that "whereas a mixture of population types, and especially of rich and poor, is desirable in the community as a whole, heterogeneity on the block will not produce the intended tolerance, but will lead to conflict that is undesirable because it is essentially insoluble and thus becomes chronic. Selective homogeneity on the block will improve the tenor of neighbor relations, and will thus make it easier—although not easy—to realize heterogeneity at the community level."²⁵

Gans acknowledges that the suburbanites he studied "want some homogeneity for themselves." But he emphasizes the heterogeneity of interests, activities, and backgrounds that can be found within an apparently homogeneous neighborhood. This, he believes, left the residents "pleased with the diversity they found among their neighbors."²⁶

Both the critics of suburbia and its defenders agree that separation of America's rich and poor into separate communities is highly undesirable and would produce political conflict. Gans observes that

communities should be heterogeneous because they must reflect the pluralism of American society. Moreover, as long as local taxation is the main source of funds for community services,

community homogeneity encourages undesirable inequalities. The high-income community can build modern schools and other high-quality facilities; the low-income community, which needs these facilities more urgently, lacks the tax base to support them. As a result, poor communities elect local governments which neglect public services and restrict the democratic process in the need to keep taxes minimal. Both financial inequity and its political consequences are eliminated more effectively by federal and state subsidy than by community heterogeneity, but so long as municipal services are financed locally, communities must include all income groups.²⁷

It is in this sensitive area of economics—not just social characteristics—that CIDs promote homogeneity. To the extent that CID housing is increasingly the norm in new construction, CID buyers as a whole may reflect about the same level of diversity in age, race, and income that exists among homeowners generally.²⁸ But the most important ways in which CID residents are homogeneous have to do with critical similarities of economic circumstances that are reinforced by social factors.

The primary common characteristic of CID purchasers is that they are homeowners, a group that is older, whiter, and wealthier than the general population. In 1990 the home ownership rate for people below age 24 was only 17.1 percent; it was 45.3 percent for those between 25 and 34. Yet those between 45 and 54 had a home ownership rate of 75.3 percent; those between 55 and 64, a rate of 79.7 percent; and those between 64 and 74, a rate of 78.8 percent.²⁹ In 1991, 67.3 percent of all white households were owner-occupied, as compared with only 42.4 percent of black households and 39.0 percent of Hispanic households; 55.7 percent of black households and 61.0 percent of Hispanic households were renter-occupied, versus just 30.8 percent of white households.³⁰

The class division between owners and renters in America is hardening. Since the mid-1970s it has become increasingly difficult for people of low to moderate income to make the jump from renting to owning. Consequently, as Apgar and Brown note, "America is increasingly becoming a nation of housing haves and have-nots." There is a large and widening income gap between owners and renters.³¹

The divisions between these two groups are politically significant. Each has a different relation to local government because of govern-

ment's heavy reliance on property tax, which only owners pay, to fund services that benefit renters as well. To many suburbanites, it seems that "we" pay property taxes to support "them." Owners and renters are also affected very differently by the prospect of rising or falling property values in the community and neighborhood. To a homeowner whose only investment is a house, this issue can determine whether he or she will have a comfortable retirement and college-educated children. To a renter, a drop in community property values may not be entirely bad; although public services might decline, rents may drop, and the transition to home ownership may become easier.

Reinforcing this important cleavage between owners and renters is the fact that CID owners share a kind of property ownership that carries different burdens, responsibilities, and privileges. Whatever degree of sameness exists among homeowners generally is reinforced by the common economic interests among CID owners. Not only are they linked by a commitment to a privatized lifestyle—and are at least as homogeneous as other American homeowners or suburbanites—but they are identically affected by state and local government decisions regarding whether, and how, to build, maintain, and pay for public services and facilities that duplicate their private ones. Over time, these categories have been merging: the group known as homeowners is gradually becoming that of CID owners.

Adding to these similarities is the intentional homogeneity created by CID builders for marketing purposes. Within particular CIDs there is often a high degree of homogeneity because the developments were built with certain groups of buyers in mind. Pricing decisions for large neighborhoods of mass-produced housing promote class or income homogeneity. Marketing efforts have become more targeted, aiming at specific subgroups who may be most attracted to CID living, including "empty-nesters," "working couples," "singles," "retirees," "first-time buyers," and "investors."³² It is often intended from the design stage that particular CIDs would be composed of people who wished to live in an enclave promoting a certain lifestyle.

This marketing effort contributes to homogeneity on a larger scale as well. Because some parts of the country and sections of metropolitan areas appeal to certain population groups, concentrations of specialty CIDs can occur. For example, the network of retirement communities in parts of Florida, California, Arizona, and elsewhere in the sunbelt can

create substantial concentrated populations of people with similar social characteristics and political concerns. Indeed, the prospect of finding such homogeneous communities is a magnet for many buyers.

If home ownership rates continue to differ widely between young and old, white and nonwhite, and along income or class lines, the potential exists for several cleavages to reinforce each other, heightening the probability of political conflict. If, as Reich, Murray, and others believe, the additional variable of CID housing further promotes the creation of private communities of the affluent and public communities of the poor, the "undesirable inequalities" and resulting "political consequences" anticipated by Gans loom larger.

MASS POLITICS FOR PRIVATOPIA?

There is ample evidence that sufficient commonalities exist among those who live in and serve CIDs to generate demands on the political system. In a number of states with much CID housing, CAI and other groups have already become a significant factor in interest group politics at the state level. People close to the heart of the industry recently have begun to speak openly of a new dimension in CID politics: actively organizing CID residents for mass political action.

The Advisory Commission on Intergovernmental Relations anticipated this possibility in 1989 after conducting a nationwide survey of CID boards: "As a significant proportion of the population in a given area—or in a state, for that matter—gets membership in RCAs, they gain potential political power. Because of the differences between their service and financial relationships to local governments, as compared to the non-RCA citizen, RCA residents may be inclined to vote differently on tax and service issues, and on bond referendums that will not directly benefit them. In addition they may organize to push for greater tax equity, or for public services to their areas, or for some other RCA-related interest. In Massachusetts, a Greater Boston Association of RCA Presidents has been formed for such purposes."³³

The task of mobilizing such concerted action is simplified because CID residents are already organized. The board of directors can notify every resident regarding a candidate, a meeting, or an issue by posting notices in common areas and dropping notes in mailboxes, just as would be done to announce the annual meeting time or an assessment increase.

Moreover, CIDs generally have a large, common meeting place, such as a recreation room or lounge.

Consequently, those who wish to mobilize a CID vote are tantalized by how ripe the prospect seems. But without an issue of sufficient visibility and seriousness, these voters do not see themselves as a group with a common political interest. The issue that is raised most often as the key to mobilizing a CID vote arises directly from the unique nature of this form of privatization: the contention that CID residents are victims of double taxation because they allegedly pay twice for the same services—once through property tax and again through homeowner association assessments. As one local politician put it, "I predicted ten years ago, when we first started approving these projects, that the day would come when people would refuse to pay taxes because they are already paying for these services through their homeowners' associations."³⁴

CID owners, among others, can also be motivated to oppose something that might hurt property values, such as the building of new developments near their own. Los Angeles has seen the emergence of a substantial "no-growth" movement centered in neighborhood homeowner associations.³⁵ Either or both of these issues—taxes and growth—could become the focus for a mass politics involving CID owners.

Common Ground, published by CAI, recently described common-interest developments as a "force in the ring" of electoral politics. The article recounts numerous instances of organized CID residents "landing blows in the political arena" over double taxation and in opposition to growth. In Naugatuck, Connecticut, an organized CID contingent made double taxation an issue in a local election and claimed to have "turned the town around from being completely Democratic controlled to Republican controlled. . . . We were a force to be reckoned with. We turned this town on its ears."³⁶ Similar organizing efforts are recounted in Florida, California, North Carolina, Texas, New Jersey, Illinois, Maryland, and Virginia.

Steve Harvill, CAI president in 1993 and a Dallas property manager, emphasized that this force is more than interest-group politics: it is an effort to influence politicians by proving that the movement can deliver an organized base of voters. "That's what the politicians care about," said Harvill, "They care about their votes." *Common Ground* provides detailed advice on influencing the political system from four "experts" with "lengthy experience in government or as lobbyists."³⁷

One of these experts is an attorney who described how he organized a

mass demonstration of CID residents to stop a plan to build shopping centers and a subdivision near Sunshine Ranches, a CID in Fort Lauderdale, Florida. The attorney, a CAI member who represented some 40 percent of the condominiums in the county, worked through a group of CID associations to gather three thousand signatures on petitions opposing the plan. He also arranged a "media event" in which the residents of Sunshine Ranches "circled the entire area with a four-mile wagon train, defending their homes like the early pioneers. The stunt worked."³⁸

Efforts to turn CID residents into a voting bloc are not confined to CAI. In California, lobbyist Robyn Boyer Stewart, who represents the Executive Council of Home Owners (ECHO), works to organize and mobilize a CID mass constituency that, she believes, could dwarf such legislative powerhouses as the public employee unions and trial lawyer organizations. She makes what she describes as a constant, systematic series of "exhortations to political action" aimed at unifying CID owners not only on specific CID-related issues, but, she hopes, on "other, broader issues" as well. "I exhort people to make a commitment," she says.³⁹

She believes legislators have begun to recognize the existence of this constituency, and she has done her best to tell them about it. In 1991, she wrote an article for *California Journal*, a publication widely read by California politicians, which began, "Heads up, politicians. There's a new political bloc making headway in California and, at latest count, it's over three million votes strong. Its components are organized by neighborhoods, operated variously like a corporation or a mini-government, and structured (most of the time) according to democratic principles. Sound like a new political party or labor union? A candidate's dream? Give up? They're California's latest version of The Good Life—common-interest developments (CIDs) and their attendant community associations."⁴⁰

She identified ten mayors and city council officials who used service on CID boards as their political training ground and electoral springboard. She quoted Marian Bergeson, a state senator, as saying that "community associations are clearly a stepping stone to running for city council," and Gil Ferguson, a state assemblyman, who stated that "every U.S. president in the last four elections campaigned in Leisure World. . . . That goes for senators and governors, too. . . . They go to Leisure World rather than the cities."⁴¹

In a 1992 address, Stewart recounted the CID lobby's major legislative successes of the year. "I'd like to say that the successes we have achieved are because of my abilities as a lobbyist, but that would not be

entirely truthful. The fact is, I am only a messenger, and the message has got to be that the common interest constituency, that rag-tag of 3.5 million California homeowners, is organizing, watching how their legislators vote on CID issues, and acting based on what they see."⁴²

Stewart makes the political equation clear: in California, voting power has shifted to the suburbs, and, "in California, the suburban voter is the common interest community voter."⁴³

Like most CID advocates, Stewart is convinced that the issue of double taxation is the key to persuading CID owners to see themselves as a group with common political interests. "No issue is likely to have more political fallout at the state and local level, to galvanize a constituency where once there was no constituency, than that of the taxation/double taxation of community associations. And yet this issue is being all but ignored by policy-makers. . . . It is only a matter of time before the tax-and-equity bomb blows. . . . As yet there is no clearly identified champion for the people who live in CIDs. . . . The politician who manages to capture this constituency, speak to its needs and offer it a voice, will be amply rewarded with gratitude and votes. Those time bombs are ticking, but is anyone listening?"⁴⁴

It would appear that legislators in New Jersey and elsewhere are listening to this new constituency, because they have responded to the double taxation charge by providing for special tax rebates to CID owners. Early in 1993 a law was approved in New Jersey requiring all cities to reimburse CIDs for the cost of providing for their own snow removal, street lighting, and leaf, recycling, and trash collection, or to provide CIDs those services "in the same fashion as the municipality provides these services on public roads and streets."⁴⁵ Property tax rebate measures have also been put in place in Houston, Kansas City, and Montgomery County, Maryland.⁴⁶

The probability for mobilizing a CID constituency is greatest at the state and local level, where political decisions often directly affect property values and where the conflict between funding of public and private services occurs. But there is at least one national issue that could galvanize a nationwide CID voting bloc. As Robert Jay Dilger explains, "Another tax equity issue involves the national government. It allows taxpayers to deduct their property taxes from their taxable income when determining national tax liability. RCA [residential community association] members are not allowed to deduct their association fees from their taxable income even though a portion of their fees is used to provide

services similar to those provided by property tax dollars. To promote tax equity, RCA members want the national government to allow them to deduct from their taxable income the portion of their assessment fees used to pay for services that are provided by their local government to other residents in their community."⁴⁷

Whether the issue is local property tax or federal income tax, the central concept is the same: to CID advocates, "tax equity" means that people who are paying for exclusive services in their own neighborhood should not have to contribute to the cost of providing similar services for the rest of the community. Yet CID residents could use and benefit from the public services for which they would not have to pay, while outsiders could not use or benefit from the private services for which CID residents nonetheless would claim a tax deduction. Advocates of CIDs are trying to equate the payment of assessments to a contribution to the public welfare. The analogy to property taxes is inapposite, however. These private payments do not benefit the public in the same sense as property taxes. Property taxes represent an individual taxpayer's contribution toward supporting clean streets not only in his or her own neighborhood but throughout the city. CID assessments are targeted for small pieces of private property from which the public can be, and often is, excluded.

It is emblematic of the CID movement that this distinction is lost. In effect, advocates identify the CID interest with the community interest because, from their perspective, the CID is the community. Having attended to the property they own, CID residents would be deemed to have satisfied their duties to the community at large, and would be free to take advantage of its benefits without further obligation. This is an extension of the unique idea of citizenship promoted in CIDs, in which one's duties consist of satisfying one's obligations to private property. The double taxation argument would extend that concept: one's duty to the entire surrounding community would be satisfied by paying the CID assessment. The CID definition of citizenship would be extended to the community at large. This entire line of argument, and the fact that it is stated so confidently, as though the unfairness of double taxation should be obvious to anyone, are evidence of the "quiet secession" Robert Reich noted.

Should a mass politics coalesce around this ideology of privatism, it could harness enormous energies and resources in the service of dismantling local government. Yet government is itself a variable in this equation. It is not clear whether the emergent relationship between public and private governments will be cooperative or conflictual. The Advisory

Commission on Intergovernmental Relations has made recommendations that seem to contemplate both dimensions. On the one hand, ACIR recommends that state and local governments "recognize the potential problems" of CIDs, and "give careful attention to the intergovernmental issues raised by their existence and activities." On the other, ACIR ultimately recommends as well that government should "cooperate with the private sector and local homeowners to facilitate appropriate development and successful operation of residential community associations."⁴⁸

These two objectives may not be compatible. It is not clear that governments will be as inclined as before to encourage further proliferation of CIDs in their present form before coming to grips with the issues that would present. The privatization represented by CID housing is largely the product of unregulated private policy making. As awareness increases of the attendant social and political consequences, public scrutiny and regulation beyond simple consumer protection may result. Regulatory efforts could be aimed at making CID governance more democratic and less managerial, reducing the burden of CID disputes on local courts, countering secessionist tendencies, resisting the construction of new CIDs, or other issues.

But such regulatory efforts have the potential to provoke a political response from the industries that build and support CIDs and may themselves mobilize CID residents to organize for mass political action. Ultimately, electoral politics may become the arena in which it will be determined whether, as Ebenezer Howard predicted, the city as we know it will die and a new kind of city "rise on the ashes of the old."

NOTES

Chapter 1

1. Dugald MacFadyen, *Sir Ebenezer Howard and the Town Planning Movement* (Manchester, Eng.: Manchester University Press, 1933), 20.
2. Edward Bellamy, *Looking Backward: 2000-1887* (Ticknor and Company, 1887; reprint, New York: Random House, 1917).
3. *Ibid.*, 276.
4. MacFadyen, *Sir Ebenezer Howard*, 20.
5. *Ibid.*, 21.

6. Ebenezer Howard, *Garden Cities of Tomorrow* (Cambridge, Mass.: MIT Press, 1965).
7. *Ibid.*, 127-46.
8. Lewis Mumford, "The Garden City Idea and Modern Planning," in Howard, *Garden Cities of Tomorrow*, 29; and Jane Jacobs, *The Death and Life of Great American Cities* (New York: Vintage, 1961), 19.
9. Howard writes, "Shortly stated, my scheme is a combination of three distinct projects which have, I think, never been united before. These are: (1) the proposals for an organized migratory movement of population of Edward Gibbon Wakefield and of Professor Alfred Marshall; (2) the system of land tenure first proposed by Thos. Spence and afterwards (though with an important modification) by Mr. Herbert Spencer; and (3) the model city of James Silk Buckingham." Yet he notes that he had not seen the proposals of Marshall or Wakefield "till I had got far on with my project . . . nor had I seen the work of Buckingham" (*Garden Cities of Tomorrow*, 119).
10. Mumford, "The Garden City Idea," 33.
11. Howard, *Garden Cities of Tomorrow*, 76.
12. Howard actually deemphasized the details of his plan, noting repeatedly that the actual plan could not be drawn until a site had been selected. See *ibid.*, 52-53, diagrams 1 and 2.
13. See *ibid.*, 140. Howard states that building on farmland would be "disastrous" because "the beauty and healthfulness of the town would be quickly destroyed . . . by the process of growth."
14. *Ibid.*, 69. See Howard's elaborate calculations for the rents, 58-69.
15. *Ibid.*, 58.
16. *Ibid.*, 87-88.
17. *Ibid.*, 92-94. Together, the Central Council and the departments would be called the Board of Management. But because the Central Council comprises nothing more than the chairmen and vice-chairmen of the departments, it is not clear what governmental functions, if any, the Board of Management would perform.
18. *Ibid.*, 92.
19. *Ibid.*, 95.
20. *Ibid.*, 92-93.
21. *Ibid.*, 96-103.
22. *Ibid.*, 138-50.
23. See Timothy Barnekov et al., *Privatism and Urban Policy in Britain and the United States* (Oxford: Oxford University Press, 1989), 8-9.
24. For a thorough, if uncritical, recounting of the English experience with new town construction, see Frederic J. Osborn and Arnold Whittick, *The New Towns: The Answer to Megalopolis* (New York: McGraw-Hill, 1963). As Barnekov et al. point out, there is a tradition of privatism in British urban planning as well, to which the postwar experience with new town construction was an exception.
25. Sam Bass Warner, *The Private City: Philadelphia in Three Periods of Its Growth* (Philadelphia: University of Pennsylvania Press, 1968), x. See also the discussion of this subject in Barnekov et al., *Privatism and Urban Policy*.
26. Dennis Judd, *The Politics of American Cities: Private Power and Public Policy*, 2nd ed. (Boston: Little, Brown, 1984), 412-13.

27. Beginning in the 1880s, business and government leaders saw home ownership as an antidote to social, political, and labor conflicts in America's rapidly growing cities. It was felt that workers who had invested their savings in a house would have an economic and emotional stake in the nearby company for which they worked and would be less likely to resign or strike. See Delores Hayden, *Redesigning the American Dream* (New York: W. W. Norton, 1984), 32-34. As Kenneth Jackson observed, "Business and political leaders were particularly anxious for citizens to own homes, based on the hope, as Friedrich Engels had feared, that mortgages would have the effect of 'chaining the workers by this property to the factory in which they work'" (Kenneth Jackson, *Crabgrass Frontier: The Suburbanization of the United States* [New York: Oxford University Press, 1985], 51).
28. There were other reasons for profit-seeking developers to offer privately owned homes and for industrialists and government to promote home ownership, apart from the domesticating effects on the American worker. Manufacturers and union leaders saw private home ownership as a way to expand domestic markets for consumer goods (Hayden, *Redesigning the American Dream*, 33). Moreover, Jackson points out that Americans preferred private home ownership "as a counterweight to the rootlessness of an urbanizing population," as a way to express individual tastes, and because European immigrants saw land ownership "as a mark of status, as well as a kind of sublime insurance against ill fortune" (Jackson, *Crabgrass Frontier*, 50-53). Considerations of economic security, status, and tax deductibility of mortgage interest still militate in favor of home ownership.
29. See Marc A. Weiss, *The Rise of the Community Builders: The American Real Estate Industry and Urban Land Planning* (New York: Columbia University Press, 1987).
30. MacFadyen, *Sir Ebenezer Howard and the Town Planning Movement*, 10-11.
31. W. A. Eden, "Ebenezer Howard and the Garden City Movement," *Town Planning Review* 19 (Summer 1947): 133.
32. Mumford, "The Garden City Idea," 30-31.
33. Marc A. Weiss and John W. Watts, "Community Builders and Community Associations: The Role of Real Estate Developers in Private Residential Governance," in Advisory Commission on Intergovernmental Relations, *Residential Community Associations: Private Governments in the Intergovernmental System?* (Washington, D.C.: Advisory Commission on Intergovernmental Relations, May 1989), 98.
34. Ronald J. Oakerson, "Private Street Associations in St. Louis County: Subdivisions as Service Providers," in Advisory Commission on Intergovernmental Relations, *Residential Community Associations*, 55-61.
35. Daniel Schaffer, *Garden Cities for America: The Radburn Experience* (Philadelphia: Temple University Press, 1982).
36. Clarence S. Stein, *Toward New Towns for America* (Cambridge: MIT Press, 1966). Stein was a member and leader of RPAA.
37. Charles S. Ascher, "The Extra-Municipal Administration of Radburn: An Experiment in Government by Contract," *National Municipal Review* 18 (June 1929): 442-46.
38. J. C. Nichols, *Mistakes We Have Made in Community Development*, Technical Bulletin no. 1 (Washington, D.C.: Urban Land Institute, 1945).
39. Urban Land Institute/Federal Housing Administration, *The Homes Association Handbook*, Technical Bulletin no. 50 (Washington, D.C.: Urban Land Institute, 1964), vi. The study classified associations in several ways and found that "470

subdivisions were reported to contain common property maintained by some type of home-owners association."

39. Weiss, *Rise of the Community Builders*.

40. James A. Clapp, *New Towns and Urban Policy* (New York: Dunellen, 1971); Theodore Roszak, "Life in the Instant Cities," *The Nation*, March 13, 1967, 336-40; and Uriel Reichman, "Residential Private Governments: An Introductory Survey," 43 *University of Chicago Law Review* 253 (1976).

41. Community Associations Institute, *Community Associations Factbook, 1988* (Alexandria, Va.: Community Associations Institute, 1988), and *Community Associations Factbook, 1993* (Alexandria, Va.: Community Associations Institute, 1993), 13. Although CAI statistics are almost universally relied on, it is important to keep in mind that there is no similar government tally. The Bureau of the Census counts only condominiums and cooperatives, not planned-unit developments (Advisory Commission on Intergovernmental Relations, *Residential Community Associations*, 3).

42. Advisory Commission on Intergovernmental Relations, *Residential Community Associations*, 4.

43. *Ibid.*, 3.

44. *Ibid.*, 3-4.

45. Rancho Bernardo Community Planning Board, *Rancho Bernardo Community Plan* (San Diego, Calif.: City of San Diego, 1989), 15.

46. Richard Louv, *America II* (New York: Penguin, 1983), 92. Louv's perceptive treatment of such "capitalist communes" as Rancho Bernardo and their role in what he calls the "shelter revolution" is one of the most accessible and influential to date.

47. Rancho Bernardo Community Planning Board, *Rancho Bernardo Community Plan*, 7-8. The plan was developed by Summers and, after extensive negotiation with the city of San Diego, was adopted by the City Council in 1962. It was revised in 1966, 1971, 1978, 1981, 1982, 1986, 1987, and 1988.

48. Louv, *America II*, 93-94.

49. *Ibid.*, 93.

50. *Ibid.*, 94.

51. *Bernardo Villas Management Corp. v. Black*, 190 Cal. App. 3d 153; 235 Cal. Rptr. 509 (1987).

52. Louv, *America II*, 94-95. I spent several evenings attending meetings of the Bernardo Home Owners Corporation, a body that does not enforce architectural restrictions but supports the other associations in a variety of ways. The group spent a good deal of time discussing how to help a neighborhood association appeal a case it lost against a homeowner. The association had cited a Trails homeowner for violating the rule against television antennas by installing a satellite dish, which he had concealed from view inside a structure. The point, members of the BHOC argued, was that a satellite dish is an antenna. The fact that in this case it neither looked like an antenna (in fact, it was not visible to anyone) nor sat atop the roof was deemed irrelevant by the board.

53. This was discussed at a BHOC meeting on March 21, 1989, that was observed by the author.

54. Harold Keen, "A New Town that Works," *San Diego Magazine*, March 1981, 113.

55. This reference to bus transportation and other political structure is contained in a mailer sent to residents by the BHOC as part of its 1989 membership drive.

56. "Don't Tread on Rancho Bernardo," *San Diego Magazine*, March 1979, 77-79.

57. Keen, "New Town that Works," 193.

58. A 1988 survey of associations belonging to the Community Associations Institute, conducted jointly by ACIR and CAI, found the average CID to have 537 units. The figure may overstate the national average, however, because CAI believes larger associations are more likely than smaller ones to join CAI. See *Residential Community Associations*, 4. Another study of 579 California associations yielded a median size of forty-three units; see Stephen E. Barton and Carol J. Silverman, *Common Interest Homeowners' Association Management Study* (Sacramento: California Department of Real Estate, 1987). Both studies were based on responses to mailed questionnaires, however, so neither reflects a representative sample. These conflicting estimates underscore the difficulty of studying CIDs, which are not subject even to the kind of centralized state government listings and record-keeping required of such simple consumer services as auto repair shops.

59. On display of the flag see Louv, *America II*, 128. On newspaper distribution see *Laguna Publishing Company v. Golden Rain Foundation of Laguna Hills*, 131 Cal. App. 3d 816 (1982). And on political gatherings see Ralph C. Meyer, "The Dictator Syndrome" (Paper presented at the Fourteenth Annual Conference of the Community Associations Institute, 1977); see also Ralph Meyer, "Democracy or Dictatorship: Are Association Leaders Listening?" *Common Ground*, May-June 1988, 18.

60. William K. Stevens, "Condominium Associations: New Form of Local Government," *Los Angeles Daily Journal*, September 8, 1988, p. 22.

61. United Press International, "Court Finds Wife Too Young for Retirement Condo," *San Diego Daily Transcript*, December 11, 1987.

62. Stevens, "Condominium Associations."

63. "Traffic," *San Diego Tribune*, July 5, 1988, p. B-1.

64. Mary Shepardson, "Homeowners Join Forces, Find Strength in Numbers," *San Diego Business Journal*, March 26-April 2, 1990, 17.

65. "Members Can Be at Mercy of Owners Group," *San Diego Union*, March 11, 1990, p. F-3.

66. United Press International, "Couple Sues to Lift Ban on Condo Door," *Los Angeles Times*, October 8, 1989, part 8, p. 21.

67. John Singh, "Fat Dog Isn't Welcome in the Land of Fat Cats," *Orlando Sentinel Tribune*, March 12, 1992, p. B-4; and John Singh, "Scales of Justice Tip in Favor of Pudgy Dog in Subdivision," *Orlando Sentinel Tribune*, March 17, 1992, p. B-3.

68. Steve Goldstein, "Don't Even Think About Pink Flamingos," *Philadelphia Inquirer*, October 27, 1991, p. 1.

69. Kathy Boccella, "Homeowners Group Coming Up Empty-Handed in a Dues Dispute," *Philadelphia Inquirer*, January 24, 1992, p. B-3.

70. Marie McCullough, "It's a Swing Set! There Goes the Neighborhood," *Philadelphia Inquirer*, October 9, 1991, p. 1.

71. See "Kissing and Doing Bad Things: Grandmother Feels Lash of Intrusive Condominium Association" and "Kissing Incident Apology Falls Short," *Los Angeles Times*, June 21, 1991, pt. B, pp. 6, 8; and "Condo Apologizes for 'Kiss' Accusation," *USA Today*, June 20, 1991, p. 3A. The association's attorney suggested that the security

guard who reported the incident had seen not the fifty-one-year-old grandmother but a seventeen-year-old girl.

72. Barton and Silverman, *Management Study*, 13. For a discussion of rule enforcement—which for many associations leads to conflict between board and residents, as well as to expensive litigation—see Stephen E. Barton and Carol J. Silverman, “The Political Life of Mandatory Homeowners’ Associations,” in Advisory Commission on Intergovernmental Relations, *Residential Community Associations*, 31–37.

73. Housing cooperatives are typically included with PUDs and condominiums as varieties of common-interest housing. The cooperative movement has a distinct history, however, and in many cases a very different ideology from the privatism that characterizes other CIDs. According to Clifford J. Treese in his unpublished draft of the 1993 *Community Associations Factbook*, co-ops were intended to “respond to housing shortages, especially after each world war, and the need for quality low-moderate income housing by deemphasizing the profit motive for the builder and the unit owner and stressing housing as a social investment which would simultaneously improve people’s lives” (p. 23). Co-op developments are a small fraction of total CID housing and are “localized in New York and practiced elsewhere by community development corporations engaged in low-moderate income housing and neighborhood revitalization” (p. 29.) Although I stress the role of the Community Associations Institute as the leading trade association for CIDs, many co-op residents and directors would consider their primary organizational representative to be the National Association of Housing Cooperatives. The story of cooperative housing is separate in many ways from that of the growth of CID housing, and it is not told here.

74. The case generally cited as the earliest judicial approval of a restrictive covenant is *Packenham’s Case* (Y.B. Hil. 42 Edw. 3, pl. 14 [1368]), in which it was held that a prior who had promised always to sing at religious services in the manor’s chapel could be forced to sing by the lord’s successors. The right to enforce the promise was not personal to the lord but “ran with the land.”

75. Jesse Dukeminier and James E. Krier, *Property* (Boston: Little, Brown, 1981), 1042–44.

76. Advisory Commission on Intergovernmental Relations, *Residential Community Associations*, 18.

77. Federal Housing Administration, *Planned-Unit Development with a Homes Association*, Land Planning Bulletin no. 6 (Washington, D.C.: Urban Land Institute, 1964).

78. Urban Land Institute/Federal Housing Administration, *Homes Association Handbook*, 12.

79. Stanley Scott, “The Homes Association: Will ‘Private Government’ Serve the Public Interest?” *Public Affairs Report* 8, no. 1 (February 1967).

80. Urban Land Institute, *Open Space Communities in the Marketplace*, Technical Bulletin no. 57 (Washington, D.C.: Urban Land Institute, December 1966).

81. Scott, “Homes Association.”

82. Robert Reich, “Secession of the Successful,” *New York Times Magazine*, January 20, 1991, 42.

83. Charles Murray suggests that this new upper caste will become a powerful political force: “I am trying to envision what happens when 10 or 20 per cent of the population has enough income to bypass the social institutions it doesn’t like in ways that only the top fraction of 1 per cent used to be able to do. . . . The Left has been

complaining for years that the rich have too much power. They ain’t seen nothing yet” (Irwin M. Stelzer, “The Shape of Things to Come,” *National Review*, July 8, 1991, 29–30).

84. Frank E. Manuel and Fritzie P. Manuel, *Utopian Thought in the Western World* (Cambridge, Mass.: Harvard University Press, 1979), 27.

85. Urban Land Institute, *Homes Association Handbook*, 4.

86. The literature of the Urban Land Institute and Community Associations Institute is replete with similar statements about finding community through common property ownership. I have chosen to evaluate those statements as serious assertions rather than regard them as marketing ploys intended to capitalize on widespread feelings of social alienation. I recognize that either interpretation is possible.

87. Rosabeth Moss Kanter, *Commitment and Community: Communes and Utopias in Sociological Perspective* (Cambridge, Mass.: Harvard University Press, 1972), 8.

88. Ibid.

89. See Robert Fishman, *Bourgeois Utopias: The Rise and Fall of Suburbia* (New York: Basic Books, 1987), an invaluable contribution to understanding the historical evolution of suburbia as a cultural and physical expression of middle-class utopian aspirations.

90. For contemporaneous accounts of the nineteenth-century utopian commune movement in the United States see John Humphrey Noyes, *History of American Socialisms* (New York: Dover, 1966); William Alfred Hinds, *American Communities* (Secaucus, N.J.: Citadel, 1973); and Charles Nordhoff, *The Communistic Societies of the United States* (1875; reprint, New York: Hillary House, 1961).

91. Kanter, *Commitment and Community*, 2.

92. Carol J. Silverman and Stephen E. Barton, “Common Interest Communities and the American Dream,” Working Paper no. 463 (Berkeley, Calif.: Institute of Urban and Regional Development, September 1987), 16–17.

Chapter 2

1. Charles S. Ascher, “How Can a Section of a Town Get What It Is Prepared To Pay For?” *The American City*, June 1929, 98–99; and Charles S. Ascher, “The Extra-Municipal Administration of Radburn: An Experiment in Government by Contract,” *National Municipal Review* 18 (June 1929): 442–46.

2. Ascher, “Extra-Municipal Administration,” 446.

3. This history is drawn from Jesse Dukeminier and James E. Krier, *Property* (Boston: Little, Brown, 1981), 959–61.

4. Ibid., 962–63.

5. *Packenham’s Case*, Y.B. Hil. 42 Edw. 3, pl. 14 (1368). These principles were put together in *Spencer’s Case* (5 Co. 16a, 77 Eng. Rep. 72 [1583]), though Dukeminier and Krier note that “attempts were made to read *Spencer’s Case* as permitting covenants between neighboring owners to run to successors, but these attempts ultimately failed” (*Property*, 1026). But the case does set out principles that eventually became central to the English, and, especially, American law of covenants.

6. *Tulk v. Moxhay*, 2 Phillips 774, 41 Eng. Rep. 1143. Chancery was a court of equity to which parties could take cases based on general principles of fairness—cases that would be thrown out of courts of law, which followed stricter rules of pleading. The

24. Rosenberry drafted and signed the Stirling "Form Letter for Background," from which this information was obtained.

25. Katharine N. Rosenberry, "The Legislature Addresses Problems in the Law of Condominiums, Planned Development and Other Common Interest Projects," 3 *California Real Property Journal* 24-27 (Winter 1985).

26. *Ibid.*, 25.

27. *Ibid.*, 27.

28. Robyn Boyer Stewart, "Homeowner Associations Sally Forth into the Political Wars," *California Journal* (April 1991): 269-72. Stewart anticipates that the double taxation issue will be "the next Proposition 13" and will one day be the subject of a statewide ballot issue. When property tax reform came to California in 1978, it happened through an initiative because the state government failed to agree on a plan. By the time the governor and legislature arrived at a proposal, the popular momentum behind the more drastic measure, Proposition 13, was too great to be diverted. It is conceivable, as Stewart suggests, that this pattern may repeat itself. Stewart also served as a legislative consultant in 1991-92 to the Assembly Select Committee on Common Interest Subdivisions, which considered and recommended amendments to the Common Interest Development Act in 1991. (Author interview with Robyn Boyer Stewart, January 19, 1993.)

29. Rosenberry, "Legislature Addresses Problems," 28.

30. *Ibid.*

31. Author interview with Gary Aguirre. On March 31, 1985, CAI adopted an "approved draft" dated March 29, 1985. That draft, described as an "official policy statement" of the CAI Board of Trustees, contains references to the legal authorities, including cites to *Cohen* and *O'Connor*. The document has a section entitled "Background" that gives some indication of CAI's limited view of member rights. "Community associations are subsocieties with power to affect the quality of members' and residents' lives. As entities that are neither governments nor businesses, community associations should provide basic rights of a constitutional nature to all members and residents, but not impose the full panoply of governmental limitations on the process. All members and residents of community associations should be treated fairly, reasonably, and without invidious discrimination. All owners should have a voice in, and an opportunity to shape the actions of their community association" (emphasis added).

The CAI position, if adopted by the state, would not hold associations to the standards prescribed for either governments or businesses. *Laguna Publishing*, *O'Connor*, and *Cohen* all would be legislatively overruled. Note also the expressed intention not to extend "governmental limitations" to CIO action, and the restriction of political participation rights to owners. The remainder of the document is a listing of procedural matters, largely parliamentary, that are the "rights" reserved for the owners—all of which are "subject to the community association's duty to fulfill its purposes, and subject to the need for timely response to emergencies." These "rights" are more properly characterized as the duties corporate managers typically owe their shareholders, including annual membership meetings, regular reports from the board, fair elections, and ethical management. The document does not really place any part of the individual's life beyond the reach of private government because the rights are surrounded by words such as "reasonable," "as appropriate," and "in light of needs and circumstances." For example, the right to privacy merely provides that the association shall "minimize intrusion into the privacy of individual units, individual affairs and personal records."

This "bill of rights" does not include any right to an independent judiciary, leaving the association board with the power to make the rules, charge people with violating

them, and try the violators. The accused has merely the right to "notice and an opportunity to be heard," but the association board has the power to levy fines, including "imposition of special charges or fees for misconduct," which seems to suggest almost a quasi-criminal jurisdiction.

32. "CLAC to Have Important Role in Hauser's Select Committee," *CAI-CLAC Legislative Bulletin*, February 1990.

33. Proposition 140, passed in 1990, reduced the legislative budget by 40 percent, leading to mass layoffs of professional staff. The measure also established term limits of six years for members of the assembly and eight years for state senators.

34. Author interview with Stephen Holloway, January 12, 1993. Holloway is a consultant to Hauser's committee, the Assembly Committee on Housing and Community Development.

35. A.B. 3780 was initiated by the San Diego law firm of Aguirre & Eckmann, which represents homeowner associations in multimillion-dollar lawsuits against developers regarding construction defects. Developers had been using these cross-complaints to force the plaintiff association to contact its liability insurance carrier, which would then hire an additional attorney to defend the association against the cross-complaint. This tactic would create the specter that somehow the association would be required to indemnify the developer for the damages it owed the association—a somewhat bizarre concept—and would introduce the potential for conflict between the new attorney and the firm representing the association. The new law left in place the developer's ability to defend and offset his damages by asserting that the association had been responsible for causing or worsening its own damages—for example, by failing to properly maintain a roof (see, e.g., *Jaffe v. Huxley Architecture*, 100 Cal. App. 3d 1188 [1988]).

36. The most significant regulatory legislation regarding CIO boards to emerge from the select committee's work was a set of measures establishing requirements dealing with the maintenance and disclosure of reserves (A.B. 623 and 871, passed in 1991).

37. The bills are described *Common Interest*, September-October 1992. The "report card" appears in "Legislators' Honor Roll Announced—1992 a Good Year for Condos," *Common Interest*, November-December 1992.

38. California Civil Code, sec. 1354.

39. *Nahrstedt v. Lakeside Village Condominium Association*, 9 Cal. App. 4th 1, 18 (1992); review granted by California Supreme Court, November 19, 1992, SO29132.

40. *Nahrstedt v. Lakeside Village Condominium Association*, 9 Cal. App. 4th, 18-19.

41. *Ibid.*, 25.

42. *Ibid.*, 28-29.

43. *Common Interest*, September-October 1992, 4.

44. California Assembly Bill 530, 1993-94, regular sess.

Chapter 8

1. Ebenezer Howard, *Garden Cities of Tomorrow* (Cambridge, Mass.: MIT Press, 1965), 156-57.

2. Robert H. Nelson, "The Privatization of Local Government: From Zoning to RCAs," in Advisory Commission on Intergovernmental Relations, *Residential Com-*

community Associations: *Private Governments in the Intergovernmental System?* (Washington, D.C.: Advisory Commission on Intergovernmental Relations, May 1989), publication A-112, 45-46.

3. Ibid., 51.

4. Advisory Commission on Intergovernmental Relations, *Residential Community Associations*, 18. The lack of data on the degree to which CID expenditures substitute for public spending makes it difficult to answer one of the most basic questions regarding a decision to privatize: Is it more efficient to deliver the services privately than publicly?

5. For discussion of the evolving doctrine of federalism see Richard Nathan, "The Role of the States in American Federalism," in C. Van Horn, ed., *The State of the States* (Washington, D.C.: Congressional Quarterly Press, 1989), 15-32; for case studies of the consequences, see H. V. Savitch and John Clayton Thomas, *Big City Politics in Transition* (Newbury Park, Calif.: Sage, 1991); for a description of the ways in which this process has strengthened the hand of private corporate interests, see Scott Cummings, "Private Enterprise and Public Policy: Business Hegemony in the Metropolis," in Scott Cummings, ed., *Business Elites and Urban Development* (Albany: State University of New York Press, 1988), 3-21.

6. See John D. Donahue, *The Privatization Decision: Public Ends, Private Means* (New York: Basic Books, 1989), esp. chap. 7.

7. Ibid., 6-7.

8. Ibid., 10.

9. See Stanley Scott, "Urban Growth Challenges New Towns," *Public Management*, September 1966, 253-260; Jesse Dukeminier, "The Coming Search for Quality," 12 *U.C.L.A. Law Review* 707 (1965).

10. Marc A. Weiss, *The Rise of the Community Builders: The American Real Estate Industry and Urban Land Planning* (New York: Columbia University Press, 1987), 1.

11. Ibid., 3.

12. Ibid.

13. Donahue, *Privatization Decision*, 11.

14. Jon Van Til, *Mapping the Third Sector: Voluntarism in a Changing Social Economy* (New York: Foundation Center, 1988), 6.

15. See Donahue, *The Privatization Decision*, chap. 3.

16. See Stephen E. Barton and Carol J. Silverman, *Common Interest Homeowners' Associations Management Study* (Sacramento: California Department of Real Estate, 1987). See also "Management and Governance in Common Interest Community Associations" (Working Paper no. 461, October 1987); "Homeownership in the Common-Interest Development" (Working Paper no. 469, October 1987); and "Public Life in Private Governments" (Working Paper no. 471, November 1987), in which the neighborly community model and the property management business model are discussed (all published at Berkeley, Institute of Urban and Regional Development, University of California). Barton and Silverman persuasively argue that the dominance of these private models weakens the public life of CIDs.

17. Robert Reich, "Secession of the Successful," *New York Times Magazine*, January 20, 1991, 42.

18. Murray is quoted in Irwin M. Stelzer, "The Shape of Things to Come," *National Review*, July 8, 1991, 29-30.

19. CAI, using HUD data and its own, estimates that of some 11.6 million CID housing units in the nation, almost six million are planned communities, which are overwhelmingly in the suburbs. Many of the more than 4.8 million units of condominium housing in the nation also are located in the suburbs. Only the 824,000 cooperative housing units are primarily urban. CAI, *Community Associations Factbook*, 1993, 13.

20. William Schneider, "The Suburban Century Begins," *The Atlantic*, July 1992, 33.

21. Ibid., 37.

22. Ibid.

23. Ibid., 35.

24. For a vehement criticism of suburban life see Lewis Mumford, *The City in History: Its Origins, Its Transformations, and Its Prospects* (New York: Harcourt, Brace, Jovanovich, 1961), 482-513. He writes, "Those who accept this existence might as well be encased in a rocket hurtling through space, so narrow are their choices, so limited and deficient their permitted responses. Here indeed we find 'The Lonely Crowd.' . . . Suburbia offers poor facilities for meeting, conversation, collective debate, and common action—it favors silent conformity, not rebellion or counter-attack. Suburbia has become the favored home of a new kind of absolutism: invisible but all-powerful" (512-13).

25. Herbert Gans, *The Levittowners: Ways of Life and Politics in a New Suburban Community* (New York: Random House, 1967), 172. Gans emphasizes, however, that "the criteria on which the advocacy of block homogeneity and community heterogeneity is based cannot justify racial homogeneity at either level" (p. 173). See also Herbert Gans, "The Balanced Community: Homogeneity or Heterogeneity in Residential Areas," *Housing Urban America*, Jon Pynoos et al., eds. (New York: Aldine, 1980), 141.

26. Gans, *The Levittowners*, 166-67.

27. Ibid., 173.

28. See Barton and Silverman, *Management Study*, 6. The authors found California CID residents to be "quite diverse" in the aggregate. But they acknowledge that less than half of the CIDs they studied had a minority ethnic group population of 5 percent or greater—a figure that represents only a fraction of the minority population of California. The authors also attach considerable significance to the presence of renters as a sign of diversity, but these individuals generally have no say in CID decisions.

29. Bureau of the Census, *Statistical Abstract of the United States, 1992* (Washington, D.C.: Bureau of the Census, 1992), table 1226.

30. Bureau of the Census, *Statistical Abstract of the United States, 1992* (Washington, D.C., 1992), tables 41, 44.

31. William C. Apgar, Jr., and H. James Brown, *The State of the Nation's Housing—1988* (Cambridge, Mass.: Joint Center for Housing Studies of Harvard University, 1988), 1, 8.

32. See, e.g., Community Associations Institute, *Community Associations Factbook*, 1993, 18. Planned communities as large as Levittown and the city-sized new towns can, if their designers wish, offer the block homogeneity and community heterogeneity of which Gans speaks.

33. Advisory Commission on Intergovernmental Relations, *Residential Community Associations*, 6.

34. Illa Collin, supervisor of Sacramento County, quoted in Robyn Boyer Stewart, "Homeowner Associations Sally Forth into the Political Wars," *California Journal*, April 1991, 272.

35. See Mike Davis, *City of Quartz: Excavating the Future in Los Angeles* (London: Verso, 1990), chap. 3.

36. Kenneth Budd, "A Force in the Ring: How Condominium and Homeowner Associations are Landing Blows in the Political Arena," *Common Ground*, November-December 1992, 15.

37. Ibid., 16, 20. The headings for these "tips" explained by the CIO lobbyists include "Inform the membership of the issues. . . . Get out the vote. . . . Establish a presence. . . . Do your homework. . . . Be honest and even tempered. . . . Create win-win situations. . . . Go through the proper channels. . . . Use the media."

38. Ibid.

39. Author interview with Robyn Boyer Stewart, January 19, 1993; letter from Stewart to the author dated January 19, 1993.

40. Robyn Boyer Stewart, "Homeowner Associations Sally Forth Into the Political Wars," *California Journal* (April 1991): 268-72.

41. Ibid., 270, 272.

42. Robyn Boyer Stewart, "Power to the People: The Growing Political Clout of Common Interest Development Associations" (Speech delivered at the California Society of Certified Public Accountants, Common Interest Realty Associations Conference, San Francisco, July 29, 1992).

43. Robyn Boyer Stewart, "Board Immunity Bill Now Law! EQ Insurance Program Repealed!" *Common Interest*, September-October 1992, 1.

44. Stewart, "Homeowner Associations Sally Forth," 271-72.

45. 1993 New Jersey Laws 6; C.40:67-23.2 as amended; 1992 Senate Bill no. 1154. Under the law reimbursement will gradually increase from 20 percent in 1993-94 to the "total cost of services" in 1997-98. Thereafter, "the municipality shall either provide the services . . . or enter into a written agreement to annually reimburse the qualified private community in full."

46. Robert Jay Dilger, *Neighborhood Politics: Residential Community Associations and American Governance* (New York: New York University Press, 1992), 28-29.

47. Ibid., 29-30.

48. Advisory Commission on Intergovernmental Relations, *Residential Community Associations*, 7.

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